

Learn Before You Invest

A Complete, Beginner-to-Advanced Guide to Personal Finance and
Investing in India

Based on the public investor-education framework of India's financial regulators — SEBI, RBI and AMFI — explained in plain, everyday language.

Educational study material. Not investment advice. Always verify current rules, limits and forms on the official SEBI, RBI, AMFI, NSE and BSE websites before acting.

Table of Contents

Part 1 — Foundations

1. Why Learn Before You Invest
2. Money, Saving and Financial Planning Basics
3. Understanding Risk, Return and Inflation

Part 2 — India's Financial Regulators

4. RBI — The Reserve Bank of India
5. SEBI — Securities and Exchange Board of India
6. AMFI — Association of Mutual Funds in India

Part 3 — Core Financial Products

7. Banking Products: Savings, FD, RD and Deposit Insurance
8. The Stock Market: Exchanges, Demat and Trading Accounts
9. Mutual Funds in Depth
10. Bonds, Government Securities and Small Savings Schemes
11. Insurance as Risk Protection

Part 4 — Growing Your Knowledge

12. IPOs and the Primary Market
13. Derivatives and Advanced Instruments
14. Fundamental Analysis
15. Technical Analysis Basics
16. Portfolio Construction and Asset Allocation

Part 5 — Protecting Your Money

17. Taxation of Investments in India
18. Common Mistakes, Scams and Frauds to Avoid
19. Retirement Planning: EPF, NPS and PPF
20. Investor Grievance Redressal (SCORES, Ombudsman, ODR)

Part 6 — Reference

21. Case Studies: Sample Portfolios by Life Stage
 22. Frequently Asked Questions
 23. Glossary of Key Terms
 24. Quick Revision Cheat-Sheet
 25. Official Resources and Where to Verify Facts
- Appendix — Step-by-Step Account-Opening Checklist

Part 7 — Extended Glossary (150+ Additional Terms)

Part 8 — Solved Numerical Problems (25 Worked Examples)

Part 9 — Practice Question Bank (150+ MCQs with Answer Key)

Part 10 — Extended Topics (Macro, Real Estate, Global Investing, Behavioural Finance, Market History, Credit, Estate Planning, Financial Planning Worksheet)

Part 11 — More MCQs and Long-Answer Practice Questions

How to Use This Guide

This guide is written in six parts that move from complete-beginner concepts to intermediate and advanced practice, so you can either read it start to finish or jump straight to the part you need. Every chapter follows the same pattern: a plain-language explanation first, then a "Beginner take-away" box for anyone reading this for the very first time, and where useful an "Intermediate/Advanced upgrade" box for readers who already know the basics and want to sharpen their understanding. Tables are used to compare products side by side, and a glossary and cheat-sheet are provided at the end for quick revision before you make a decision.

A note on accuracy: financial rules, tax slabs, deposit-insurance limits, contribution caps and portal names issued by SEBI, RBI and AMFI are revised from time to time. This guide explains the underlying concepts and structures, which change slowly, but you should always cross-check the latest numbers on the official regulator websites listed in Chapter 23 before making a financial decision.

Who this guide is for

Complete beginners who have never invested a rupee, students who want a solid conceptual base before college projects or exams, and intermediate investors who already have a savings account or a mutual fund SIP and want to move towards direct equity, bonds, or a properly structured portfolio.

Throughout the guide, three visual cues repeat: a gold-bordered box marked "Beginner take-away" distills the single most important idea from that section for a first-time reader; a box marked "Intermediate/Advanced upgrade" points to the next layer of depth once the basics feel comfortable; and comparison tables are used wherever two or more products or concepts are best understood side by side rather than described one after another in prose. Numbered sub-sections (such as 9.1, 9.2) let you jump directly to a specific concept using the table of contents, without needing to read an entire chapter to find one answer.

Part 1

Foundations — Money, Saving and Risk

Chapter 1: Why Learn Before You Invest

Every rupee you invest is a rupee you have chosen not to spend today, in the hope that it grows into more purchasing power tomorrow. That single sentence is the entire logic of investing, but the number of products, apps, advertisements and "hot tips" built around it can make the subject feel far more complicated than it needs to be. The single biggest risk a new investor faces is not market volatility — it is acting on decisions they do not understand, made under pressure from a friend, an influencer, or a fear of missing out.

India's financial regulators exist precisely to reduce this risk. The Securities and Exchange Board of India (SEBI) regulates the stock market and protects investors from fraud and unfair practices. The Reserve Bank of India (RBI) regulates banks, manages the currency and safeguards the banking system. The Association of Mutual Funds in India (AMFI) is the industry body that standardises mutual fund practices and runs large-scale investor-awareness campaigns such as "Mutual Funds Sahi Hai." All three publish free investor-education material, and this guide draws its structure from the kind of foundational knowledge they encourage every investor to have before putting money to work.

The cost of skipping this step

- Products bought without understanding them are often surrendered or sold early, locking in losses or exit charges.
- Unlicensed advisors and "guaranteed return" schemes specifically target people who have not learned to ask basic questions such as "who regulates this?" and "where is my money actually going?"
- Panic-selling during a market fall is far more common among investors who never understood that short-term volatility is a normal, expected feature of markets — not a sign that something has gone wrong.

Beginner take-away

You do not need to be an expert to start. You need to know four things before you invest a single rupee: what the product actually is, who regulates it, what could go wrong, and how quickly you can get your money back if you need it. This guide builds exactly that foundation, chapter by chapter.

1.1 How this guide is organised

Part 1 covers foundational personal-finance concepts that apply regardless of which product you eventually choose. Part 2 introduces the three regulators whose names recur throughout Indian financial life — RBI, SEBI and AMFI — so that later chapters can reference them without re-explaining their role each time. Part 3 walks through core products from the safest and simplest (savings accounts) to progressively more involved ones (stocks, mutual funds, bonds, insurance). Part 4 is aimed at readers ready to go beyond the basics — IPOs, derivatives, fundamental and technical analysis, and portfolio construction. Part 5 focuses specifically on protecting the money you've invested, through tax awareness and fraud prevention. Part 6 is a reference section — case

studies, frequently asked questions, a glossary, a one-page cheat-sheet, and a practical account-opening checklist — designed for quick revision once you've read the guide once in full.

Chapter 2: Money, Saving and Financial Planning Basics

2.1 Income, expenses and the saving habit

Financial planning begins with a simple accounting exercise: track what comes in (salary, allowance, freelance income) against what goes out (rent, food, subscriptions, travel). The gap between the two — if positive — is your savings capacity. A widely used starting rule is the 50-30-20 approach: roughly 50% of income towards needs, 30% towards wants, and 20% towards savings and debt repayment. It is a starting point, not a law; the right split depends on your stage of life, dependents and goals.

2.2 The emergency fund, before anything else

Before any investing begins, most financial educators — including the investor awareness material published by AMFI — recommend building an emergency fund equal to three to six months of essential expenses, held in a safe, liquid place such as a savings account, a sweep-in fixed deposit, or a liquid mutual fund. The purpose of this fund is not to earn the highest possible return; it is to make sure that a job loss, medical emergency or unexpected repair never forces you to break a long-term investment or take on high-interest debt at the worst possible time.

2.3 Goal-based planning

Every investment should be attached to a goal with a rough time horizon, because the time horizon decides which products are appropriate. A trip planned for next year and a retirement fund 30 years away should never sit in the same product, because they have completely different tolerances for short-term ups and downs.

Goal horizon	Example goal	Broad product fit
Short term (0-3 years)	Emergency fund, planned purchase, short-term savings	Savings account, fixed deposit, liquid/ debt mutual funds
Medium term (3-7 years)	Car, home down payment, higher studies	Recurring deposits, debt/hybrid mutual funds, conservative equity funds
Long term (7+ years)	Retirement, child's future, wealth building	Equity mutual funds, direct equity, PPF/NPS, sovereign gold bonds

2.4 The power of compounding

Compounding means earning returns not just on your original investment but also on the returns it has already generated. The effect is small in year one and dramatic after fifteen or twenty years, which is why financial educators repeat the phrase "start early" so often — time in the market, more than timing the market, is the biggest lever an ordinary investor controls.

Beginner take-away

Build your emergency fund first, attach every investment to a specific goal and time horizon, and start early even with small amounts — a disciplined ₹500 a month begun at 22 will usually outgrow a larger amount started at 35, purely because of compounding.

Intermediate upgrade

Once the emergency fund and short-term goals are covered, review your asset allocation at least once a year and rebalance it — trim the portion that has grown disproportionately large and top up the portion that has lagged, so your risk level stays where you intended it (see Chapter 16).

2.5 A worked illustration of compounding

Consider three savers who each invest **■**5,000 a month, assuming for simplicity a constant 10% annual return compounded yearly — real returns will vary year to year, but the illustration shows why the starting date matters more than most people expect. Saver A starts at age 22 and stops contributing at 32 (10 years of contributions, then leaves the money untouched until 60). Saver B starts at age 32 and contributes every year until 60 (28 years of contributions). Even though Saver B has contributed nearly three times as much money in total, Saver A — who started ten years earlier but stopped contributing much sooner — typically ends up with a comparable or larger final corpus purely because those first ten years of growth had far longer to compound. This is the single most repeated lesson in beginner financial education: the earliest years of investing are disproportionately valuable, so the biggest cost of delay is not the missed contribution, it is the missed compounding time.

2.6 Budgeting tools and habits

A budget does not need to be a complicated spreadsheet to be useful. Many beginners start with a simple three-column list — fixed essential expenses, flexible/discretionary expenses, and savings/investments — reviewed once a month. Automating savings, for instance through a standing instruction that moves a fixed sum into an investment on salary day, before it has a chance to be spent, tends to be far more reliable than trying to save whatever happens to be left over at month-end.

Worked example

If your monthly income is **■**30,000 and you follow a 50-30-20 split: roughly **■**15,000 goes to needs (rent, groceries, utilities, transport), **■**9,000 to wants (entertainment, dining out, subscriptions), and **■**6,000 to savings and investments. If you're just starting your emergency fund, that **■**6,000 might go entirely into a savings account or liquid fund until you reach three to six months of expenses, after which you can redirect new savings towards longer-term goals.

Chapter 3: Understanding Risk, Return and Inflation

3.1 There is no such thing as a return-free lunch

Every financial product carries some form of risk — the risk that you lose money, that you cannot access your money when you need it (liquidity risk), or that your money grows more slowly than prices rise (inflation risk). Higher expected returns are, almost without exception, compensation for taking on more of one of these risks. Any product promising unusually high, guaranteed returns with no risk should be treated as a red flag — this single idea, repeated constantly in SEBI's investor-awareness material, prevents more losses than almost any other piece of financial knowledge.

3.2 Inflation: the silent risk of doing nothing

Inflation is the rate at which the general price level rises, eroding the purchasing power of money that is left idle. The RBI's monetary policy has an explicit inflation target, because keeping inflation low and stable is central to protecting savers. Money sitting in a low-interest savings account may look "safe" because the number on the screen never falls, but if inflation runs higher than the interest earned, the real, inflation-adjusted value of that money is quietly shrinking every year.

3.3 Risk types you will meet again in this guide

- **Market risk** — prices of stocks, bonds or mutual fund units move up and down with market conditions.
- **Credit/default risk** — a borrower (company or government) fails to repay interest or principal.
- **Liquidity risk** — you cannot sell an investment quickly at a fair price when you need cash.
- **Concentration risk** — too much money in one stock, one sector, or one asset class.
- **Interest-rate risk** — bond prices fall when interest rates rise, and vice versa.
- **Inflation risk** — returns fail to outpace rising prices, eroding real wealth.

3.4 Risk profiling

A risk profile is an honest assessment of how much volatility you can tolerate financially (how long is your time horizon, do you have dependents, what is your income stability) and psychologically (can you stay invested through a 20% fall without panic-selling). Every SEBI-registered mutual fund is required to carry a "riskometer" on its scheme documents, and every SEBI-registered investment adviser is required to assess a client's risk profile before recommending products — this is not a formality, it exists because mismatched risk is one of the most common causes of investor losses.

Beginner take-away

Never chase the highest advertised return without first asking what risk is being taken to produce it. If a product promises high, fixed, guaranteed returns with "no risk," that claim is itself the biggest warning sign.

3.5 Standard deviation and volatility, in plain terms

Financial documents often quote a fund's "standard deviation" as a measure of volatility — how much its returns have historically swung above and below their average. A fund with a higher standard deviation has historically produced a wider range of outcomes from year to year, even if its average return looks similar to a steadier fund. This is why comparing two funds purely on their headline average return, without checking how bumpy the ride was to get there, can be misleading.

3.6 Time horizon reduces — but does not eliminate — risk

Historically, the probability of an equity investment showing a loss over any given single year is meaningfully higher than the probability of a loss over any rolling ten-year period, because short-term volatility tends to average out over longer stretches. This is the statistical basis for the common advice to keep equity investments for long-term goals only — but it is a tendency observed in past data, not a guarantee about the future, and every investor should treat it as such.

3.7 Risk-return trade-off across common asset classes

Asset class	Typical risk	Typical return expectation	Typical horizon fit
Savings account / liquid fund	Very low	Modest, often near or below inflation	Immediate to short-term
Fixed deposit / debt fund	Low to moderate	Moderate, fairly predictable	Short to medium-term
Government securities / PPF	Low (credit risk), some interest rate risk	Moderate, stable	Medium to long-term
Diversified equity / equity mutual fund	Moderate to high	Higher over long periods, volatile in short-term	Long-term (5+ years)
Direct stock-picking / derivatives	High to very high	Wide range, depends heavily on skill and discipline	Requires active management

Part 2

India's Financial Regulators

Chapter 4: RBI — The Reserve Bank of India

4.1 What the RBI does

The Reserve Bank of India is the country's central bank, established in 1935 and headquartered in Mumbai. Its responsibilities span far beyond "printing money": it conducts monetary policy to manage inflation and growth, regulates and supervises banks and non-banking financial companies (NBFCs), manages the currency and payment systems, and acts as banker to the Government of India and to commercial banks.

4.2 Monetary policy in plain language

The RBI's Monetary Policy Committee reviews and sets the repo rate — the rate at which the RBI lends short-term funds to commercial banks. When the repo rate rises, borrowing becomes costlier throughout the economy, which tends to cool inflation but also slows growth; when it falls, borrowing becomes cheaper, which tends to support growth. This single number ripples outward into home-loan rates, fixed-deposit rates and, indirectly, into bond and equity markets, which is why investors track RBI policy announcements.

4.3 Banking regulation and depositor protection

Every bank operating in India needs an RBI license, and the RBI supervises banks for financial soundness. A related but separate body, the Deposit Insurance and Credit Guarantee Corporation (DICGC), a wholly owned subsidiary of the RBI, insures bank deposits up to a specified limit per depositor per bank — this is why spreading large sums across multiple banks, rather than one, can matter for pure capital-safety purposes. The exact insured amount is revised periodically, so it should be checked on the DICGC/RBI website when relevant.

4.4 Other RBI functions relevant to investors

- **RBI Retail Direct** — a free online platform through which individual investors can open a gilt account and buy government securities and Treasury Bills directly.
- **Regulation of digital payments** — UPI, IMPS, NEFT and RTGS all operate within an RBI-regulated framework.
- **Currency management** — issuing and managing the supply of the rupee.
- **NBFC regulation** — companies that lend or invest but are not full banks (e.g., many gold-loan or consumer-finance companies) are registered and supervised by the RBI.

Beginner take-away

If a financial product involves a bank deposit, a loan, government securities, or the broader payment system, the RBI is the regulator standing behind it. Checking whether an entity is RBI-regulated is one of the fastest ways to filter out unlicensed lenders and deposit-taking scams.

4.5 How RBI policy indirectly affects your investments

Even if you never buy a government bond, RBI policy still touches almost every financial product you hold. When the repo rate rises, banks usually raise both loan rates and fixed-deposit rates, making FDs relatively more attractive versus other options, while higher borrowing costs can slow corporate earnings growth and weigh on equity prices. When the repo rate falls, the reverse tends to happen — cheaper loans, lower FD rates, and often a supportive backdrop for equities. Understanding this chain, even loosely, helps explain why financial news gives so much attention to RBI policy announcements, which are scheduled several times a year on a published calendar.

4.6 Financial inclusion and consumer protection

Beyond monetary policy, the RBI has actively pushed financial-inclusion initiatives — such as simplified "small" and "basic savings bank deposit" accounts with minimal documentation — aimed at bringing unbanked populations into the formal banking system, alongside consumer-protection rules covering areas like fair lending practices, reasonable recovery conduct, and transparent disclosure of loan charges.

Chapter 5: SEBI — Securities and Exchange Board of India

5.1 What SEBI does

SEBI is the regulator for India's securities market — stocks, bonds traded on exchanges, mutual funds, and the intermediaries (brokers, depositories, investment advisers, portfolio managers) that operate within it. It was given statutory powers under the SEBI Act, 1992, with a three-part mandate: protecting the interests of investors, promoting the development of the securities market, and regulating the market so that it functions fairly.

5.2 What SEBI regulates day to day

- Registration and conduct of stockbrokers, depositories (NSDL and CDSL), depository participants, mutual funds and their AMCs, investment advisers, research analysts and portfolio managers.
- Disclosure rules for companies that raise money from the public, including IPO prospectuses.
- Rules against insider trading, market manipulation and fraudulent trade practices.
- Investor grievance redressal, through the SCORES portal and the newer Online Dispute Resolution (ODR) mechanism (see Chapter 20).
- Investor-education initiatives, including simplified riskometers, mandatory scheme disclosures, and public awareness campaigns.

5.3 Why "SEBI-registered" matters

Any entity offering to manage your money, give investment advice for a fee, or trade on your behalf in the securities market is expected to be registered with SEBI. Before acting on advice from a person or app claiming to be an "investment adviser" or "research analyst," it is worth checking their registration status on SEBI's official website — a large share of investor complaints in India trace back to unregistered entities operating outside this framework, often through social media or messaging-app "tips" groups promising guaranteed profits.

Beginner take-away

Before you trust anyone with your investment decisions — an app, an "advisor," a YouTube channel selling a paid course with guaranteed returns — check whether they are SEBI-registered. It takes two minutes and eliminates a large share of common scams.

Intermediate upgrade

Read the Scheme Information Document (SID) and Key Information Memorandum (KIM) of any mutual fund before investing — SEBI mandates these disclosures precisely so that expense ratios, exit loads, fund manager history and risk levels are available in one standard place rather than scattered across marketing material.

5.4 Depositories, brokers and the settlement chain

SEBI also regulates the plumbing that makes a trade actually happen: depositories (NSDL and CDSL) that hold securities electronically, depository participants that act as the customer-facing link to those depositories, clearing corporations that guarantee trade settlement, and stockbrokers who route orders to the exchange. This layered structure exists so that, even if one intermediary fails, systemic safeguards — such as investor protection funds maintained by exchanges — limit the damage to individual investors.

5.5 SEBI's evolving investor-first initiatives

Over the years SEBI has introduced several investor-first measures worth knowing: mandatory colour-coded riskometers on mutual funds, standardised categorisation of equity and debt scheme types so similar funds can be compared fairly, stricter disclosure and margin norms in the derivatives segment after data showed heavy retail losses, and simplified account-opening and KYC processes such as Aadhaar-based e-KYC. Periodically reviewing SEBI's investor-education portal is a low-effort way to stay current with such changes.

Chapter 6: AMFI — Association of Mutual Funds in India

6.1 What AMFI does

AMFI is the industry association of SEBI-registered mutual fund houses (Asset Management Companies, or AMCs) in India. It is not a government regulator in the same sense as SEBI or the RBI, but it plays a central role in standardising practices across the mutual fund industry and in running large-scale investor education, most visibly through the "Mutual Funds Sahi Hai" public awareness campaign.

6.2 Functions relevant to an everyday investor

- Maintains and publishes daily Net Asset Values (NAVs) for mutual fund schemes across the industry.
- Administers the certification and registration framework for Mutual Fund Distributors, through the NISM-AMFI series exams and the ARN (AMFI Registration Number) system.
- Publishes investor-education content that explains SIPs, NAV, expense ratios and fund categories in plain language.
- Works with AMCs to standardise disclosure formats such as scheme categorisation (large-cap, mid-cap, small-cap, and so on) so investors can compare funds meaningfully.

6.3 Checking a distributor's ARN

If you buy mutual funds through a distributor rather than directly, that distributor should hold a valid ARN issued after passing the AMFI-administered certification. Checking this, alongside a SEBI registration check for advisers, is a basic due-diligence step before handing over money or personal KYC documents.

Beginner take-away

SEBI writes and enforces the rules for the securities market as a whole; AMFI is the mutual fund industry's own standards body, working under SEBI's regulatory framework to keep mutual fund practices consistent and to educate investors. Together with the RBI for banking products, these three names will appear throughout the rest of this guide.

6.4 Investor awareness campaigns

The "Mutual Funds Sahi Hai" campaign, funded through a small industry-wide investor-education cess collected from AMCs, has run extensive multi-language, multi-media outreach aimed at demystifying mutual funds for first-time investors across India, including in smaller towns where formal financial literacy resources have historically been limited. This is a useful, free, non-product-specific resource to revisit alongside official SEBI and RBI material.

6.5 Where AMFI data is genuinely useful day to day

Beyond investor education, AMFI's published data — daily NAVs, historical scheme performance, and category-wise fund classifications — is widely used as a reference point by investors and

analysts alike, and cross-checking a fund's reported NAV or category against AMFI's own published data is a simple way to validate what a distributor or app is showing you.

Part 3

Core Financial Products

Chapter 7: Banking Products: Savings, FD, RD and Deposit Insurance

7.1 Savings accounts

A savings account is the simplest and most liquid banking product: money can be deposited or withdrawn at any time, and it earns a modest rate of interest set by the bank within RBI guidelines. It is best suited for money you need to access quickly — day-to-day expenses and the core of an emergency fund — rather than as a long-term growth vehicle, since savings-account interest often struggles to keep pace with inflation.

7.2 Fixed Deposits (FDs) and Recurring Deposits (RDs)

A Fixed Deposit locks a lump sum for a chosen tenure at a fixed interest rate, typically higher than a savings account, in exchange for reduced liquidity — early withdrawal usually attracts a penalty. A Recurring Deposit works the same way but is built for people who want to save a fixed amount every month rather than depositing a lump sum upfront. Both are offered by banks regulated by the RBI and are considered low-risk, predictable instruments, appropriate for short- to medium-term goals or the conservative portion of a portfolio.

7.3 Deposit insurance (DICGC)

Bank deposits — savings, current, fixed and recurring — are insured up to a limit per depositor per bank by DICGC, an RBI subsidiary. This means that even if a bank were to fail, insured depositors are protected up to that limit. Because the limit applies per bank, investors with very large deposit balances sometimes spread them across multiple banks for pure safety; always confirm the current insured limit on the DICGC website, as it is revised periodically.

Feature	Savings account	Fixed deposit	Recurring deposit
Liquidity	High — anytime	Low — tenure locked	Low — tenure locked
Typical use	Daily expenses, emergency fund	Lump sum, medium-term goals	Monthly saving discipline
Interest rate	Lowest of the three	Fixed, higher than savings	Fixed, similar to FD
Risk level	Very low	Very low	Very low

Beginner take-away

Banking products are the safest starting point for an emergency fund and short-term goals, but their after-inflation, after-tax return is usually modest — they are a foundation, not a wealth-building engine on their own.

7.4 Sweep-in and other hybrid accounts

Many banks offer a "sweep-in" facility that automatically moves balances above a set threshold from a savings account into a linked short-term fixed deposit, earning a higher rate while retaining

most of the liquidity of a savings account — if funds are needed, the linked FD is broken automatically to cover the shortfall. This is a useful middle ground for an emergency fund that wants a bit more yield than a plain savings account without a full FD lock-in.

7.5 Digital banking and payments

India's digital payments ecosystem — UPI (Unified Payments Interface), IMPS, NEFT and RTGS — is regulated by the RBI and has made moving money between accounts close to instantaneous in most cases. UPI in particular has become the dominant mode for small, everyday transfers, and understanding basic digital-payment hygiene (never sharing an OTP or UPI PIN, verifying a payee before large transfers, using official banking apps rather than unknown links) is now a core part of personal financial safety.

7.6 Choosing between banks and account types

For most individuals, factors worth comparing across banks include minimum balance requirements, interest rates on savings and deposits, the quality and reach of digital banking, and customer-service responsiveness — since all scheduled banks are RBI-regulated and DICGC-insured up to the applicable limit, the choice between them is mostly about convenience and product features rather than fundamental safety.

Chapter 8: The Stock Market: Exchanges, Demat and Trading Accounts

8.1 What a share actually represents

A share (or stock) represents a unit of ownership in a company. Owning shares makes you a part-owner, entitled to a proportional claim on the company's profits (sometimes distributed as dividends) and, in principle, a vote on certain company matters. Share prices move based on the collective expectations of buyers and sellers about the company's future earnings, broader economic conditions, and sentiment.

8.2 Exchanges and indices

In India, shares are primarily traded on two exchanges: the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE), both regulated by SEBI. An index is a basket of selected stocks used to represent the broader market's movement — the Nifty 50 (NSE) and the Sensex (BSE) are the most widely quoted Indian indices, each tracking a set of large, established companies.

8.3 Demat and trading accounts

To buy or sell shares, an investor needs two linked accounts: a demat account, which holds securities electronically (maintained through a depository — NSDL or CDSL — via a SEBI-registered Depository Participant), and a trading account, through which buy and sell orders are actually placed with the exchange via a SEBI-registered stockbroker. Opening both requires standard KYC (identity, address and bank proof) and is normally done together through a single broker today.

8.4 Order types, briefly

- **Market order** — buy or sell immediately at the best available current price.
- **Limit order** — buy or sell only at a price you specify or better.
- **Stop-loss order** — automatically triggers a sell once a price falls to a set level, used to cap potential losses.

Intermediate upgrade

Beyond order types, look into how your broker handles corporate actions (dividends, bonus shares, stock splits) in your demat account, and understand settlement cycles (India follows a T+1 settlement cycle for most equity trades) so you know exactly when funds or shares actually reflect in your accounts.

Beginner take-away

Direct stock-picking requires research time, emotional discipline and an understanding of individual businesses. If you are not yet ready for that, mutual funds (next chapter) offer a way to participate in the stock market with professional management and built-in diversification.

8.5 Market capitalisation categories

Listed companies are commonly grouped by market capitalisation — the total market value of a company's outstanding shares. Large-cap companies are typically the largest, most established businesses, generally considered relatively more stable. Mid-cap companies are medium-sized, often with higher growth potential but also higher volatility. Small-cap companies are the smallest listed businesses, capable of significant growth but carrying the highest volatility and liquidity risk of the three groups. This classification is also how many equity mutual fund categories, discussed in Chapter 9, are defined.

8.6 Reading a basic stock quote

A typical stock quote shows the current market price, the day's high and low, trading volume, and the 52-week high/low range. Alongside these, financial platforms usually display valuation figures such as the price-to-earnings ratio and market capitalisation, covered in more depth in Chapter 14 on fundamental analysis. Learning to read this basic snapshot — rather than reacting only to the headline price change — is a useful early skill.

8.7 Settlement and corporate actions

India's equity market operates on a T+1 settlement cycle for most trades, meaning shares and funds typically move into the buyer's and seller's accounts one business day after the trade date. Companies periodically take "corporate actions" that affect shareholders directly — dividends (cash payouts), bonus issues (free additional shares in a fixed ratio), stock splits (dividing each share into multiple lower-priced shares without changing total value), and buybacks (the company repurchasing its own shares). These are reflected automatically in a shareholder's demat account and do not require separate action in most cases.

Chapter 9: Mutual Funds in Depth

9.1 What a mutual fund is

A mutual fund pools money from many investors and invests it, according to a stated objective, in a diversified portfolio of stocks, bonds, or other securities, managed by a professional fund manager employed by an Asset Management Company (AMC). In return for pooling your money with others, you get diversification and professional management that would be hard to replicate on your own with a small amount of capital.

9.2 NAV and units

When you invest, your money buys "units" of the scheme at that day's Net Asset Value (NAV) — essentially the per-unit market value of everything the fund holds, calculated and published daily (a role AMFI facilitates industry-wide). As the underlying investments rise or fall in value, so does the NAV, and therefore the value of your holding.

9.3 Broad categories of mutual fund schemes

Category	What it mainly holds	Typical risk level	Rough horizon
Equity funds	Company shares (large-cap, mid-cap, small-cap, sectoral, etc.)	High to very high	5+ years
Debt funds	Bonds, government securities, money-market instruments	Low to moderate	Months to a few years
Hybrid funds	Mix of equity and debt in varying proportions	Moderate	3-5+ years
Index funds / ETFs	Passively track an index like Nifty 50 or Sensex	Tracks underlying market risk	5+ years
Liquid / overnight funds	Very short-term money-market instruments	Very low	Days to a few months

9.4 SIP vs lump sum

A Systematic Investment Plan (SIP) allows you to invest a fixed amount at regular intervals (commonly monthly) rather than all at once. Because it buys more units when prices are low and fewer when prices are high, over time it averages out the purchase cost — a benefit generally referred to as rupee-cost averaging — and it builds investing discipline without requiring you to "time" the market. A lump-sum investment, by contrast, puts the full amount to work immediately, which can be advantageous when markets are attractively valued but carries more timing risk.

9.5 Direct vs regular plans, and the expense ratio

Every scheme is available in a Direct plan (bought straight from the AMC, no distributor commission) and a Regular plan (bought through a distributor who earns a commission baked into the fund's costs). Direct plans carry a lower expense ratio — the annual fee, expressed as a percentage of assets, that covers fund management and operating costs — which compounds into a meaningfully larger difference in returns over long horizons, though Regular plans offer the value of a distributor's guidance for investors who want that support.

9.6 The riskometer and KYC

SEBI requires every scheme to carry a riskometer — a simple visual scale from "Low" to "Very High" risk — on its documents, so investors can quickly judge whether a scheme's risk matches their own profile. Before investing in any mutual fund, investors must also complete a one-time KYC (Know Your Customer) process, now largely digital, involving PAN, identity and address verification.

Beginner take-away

For most first-time investors, a diversified equity or hybrid mutual fund started via SIP, in the Direct plan, is a well-understood and widely recommended starting point for long-term goals — it removes the need to pick individual stocks while keeping costs low.

Intermediate upgrade

Once comfortable with fund basics, study a scheme's portfolio turnover, its benchmark and how consistently it has beaten that benchmark across multiple market cycles (not just one good year), and consider how a fund's category fits into your overall asset allocation rather than judging it in isolation.

9.7 A worked SIP illustration

Suppose an investor starts a SIP of ₹5,000 a month in an equity mutual fund. In the first month, if the NAV is ₹50, the ₹5,000 buys 100 units. If the market falls the next month and the NAV drops to ₹40, the same ₹5,000 buys 125 units — more units for the same money. If the market then recovers and the NAV rises to ₹60, that month's ₹5,000 buys about 83.3 units. Over the three months, the investor has bought 308.3 units for ₹15,000 invested, at an average cost of roughly ₹48.6 per unit — lower than the simple average of the three NAVs (₹50, ₹40, ₹60 average to ₹50). This is rupee-cost averaging in action: because more units are purchased when prices are lower, the average purchase cost tends to work out favourably compared to investing the same total amount in one lump sum at a randomly chosen point, especially in a volatile market.

9.8 How to actually start investing in a mutual fund

- Complete KYC once, either through a fund house, a registrar (such as CAMS or KFin Technologies), or a SEBI-registered platform — PAN, address proof and a video/in-person verification are typically required.
- Decide the category that matches your goal and risk profile (see Chapters 2, 3 and 16) rather than picking a fund purely because of a high recent return.
- Choose the Direct plan if you are comfortable researching independently, or the Regular plan if you want ongoing distributor guidance.
- Set up a SIP via net banking mandate or UPI Autopay so contributions happen automatically on a fixed date each month.
- Review your funds roughly once a year — not daily — checking whether the fund still matches your goal, rather than reacting to short-term NAV movements.

9.9 Exit load and taxation touchpoints

Many schemes charge an exit load — commonly around 1% — if units are redeemed before a short holding period (often one year for equity funds), meant to discourage short-term in-and-out trading of what is designed to be a long-term vehicle. Redemptions are also subject to capital gains tax as described in Chapter 17, with the exact treatment depending on the fund's underlying asset mix (equity-oriented versus debt-oriented) and the holding period.

9.10 How to read a mutual fund factsheet

A monthly factsheet, published by every AMC for each scheme, typically shows the fund's investment objective, its benchmark index, the fund manager's name and tenure, the expense ratio, the portfolio's top holdings and sector allocation, and trailing returns over several periods (such as 1-year, 3-year, 5-year and since-inception). Reading a factsheet before investing — rather than relying only on an app's summary screen — helps confirm that a scheme's actual holdings and strategy genuinely match what its name and marketing suggest.

Factsheet section	What to check
Investment objective	Does the stated goal match your own goal for this money?
Benchmark & returns	Has the fund beaten its benchmark over multiple 3-5 year periods, not just one year?
Expense ratio	Is it reasonable relative to similar funds in the same category?
Top holdings/sectors	Is the portfolio genuinely diversified, or concentrated in a few stocks/sectors?
Riskometer	Does the labelled risk level match your own risk profile?

Chapter 10: Bonds, Government Securities and Small Savings Schemes

10.1 What a bond is

A bond is essentially a loan: the buyer lends money to the issuer (a government or a company) in exchange for regular interest payments and the return of the principal at maturity. Bonds are generally considered lower-risk than equities, though risk varies widely depending on the issuer's creditworthiness.

10.2 Government securities and RBI Retail Direct

Government securities (G-Secs) and Treasury Bills are issued by the Government of India to fund its borrowing needs and are considered among the safest rupee-denominated instruments, since they carry sovereign backing. The RBI Retail Direct scheme lets individual investors open a free Retail Direct Gilt account directly with the RBI and buy these instruments without needing a broker, opening up an asset class that was historically accessible mainly to large institutions.

10.3 Corporate bonds

Companies also issue bonds to raise money, generally offering higher interest than government securities to compensate for higher credit risk. Credit rating agencies assess and publish ratings (such as AAA, AA, and so on) indicating the issuer's perceived ability to repay — a crucial number to check before investing in any corporate bond.

10.4 Small savings schemes

Scheme	Broad nature	Typical lock-in
Public Provident Fund (PPF)	Long-term, government-backed savings with tax benefits	15 years (extendable)
National Savings Certificate (NSC)	Fixed-tenure government savings certificate	5 years
Sukanya Samridhi Yojana	Scheme for a girl child's future, government-backed	Until the child turns 21 (partial withdrawal allowed)
Sovereign Gold Bonds (SGB)	Government security denominated in grams of gold	8 years (early exit window after year 5)

Beginner take-away

Government-backed instruments (G-Secs, PPF, NSC, Sovereign Gold Bonds) offer very high safety of principal and are useful for the conservative core of a portfolio, but usually at lower returns than equity over the long run — the trade-off described in Chapter 3 is at work here too.

10.5 How bond prices and interest rates move

Bond prices move inversely to interest rates: when prevailing interest rates rise, existing bonds paying a lower fixed rate become less attractive, so their market price falls to compensate a new buyer; when rates fall, existing higher-paying bonds become more attractive and their price rises. This inverse relationship is one of the most commonly misunderstood ideas among new investors,

who often assume bonds are simply "safe and unchanging" in price — they are safe in the sense of repaying principal and interest on schedule (barring default), but their market price can still fluctuate meaningfully if sold before maturity.

10.6 Debt mutual funds versus buying bonds directly

Most individual investors find it easier to gain bond exposure through a debt mutual fund, which pools many bonds and is professionally managed, rather than researching and buying individual corporate bonds directly, which requires assessing credit risk carefully and often involves higher minimum investment amounts. Direct government securities through RBI Retail Direct are an exception, since sovereign credit risk is minimal and the platform is built for individual investors.

Chapter 11: Insurance as Risk Protection

11.1 Insurance is protection, not investment

Insurance exists to transfer a specific risk — the financial impact of death, illness or property loss — from an individual to an insurer, in exchange for a premium. A foundational piece of financial-planning advice, echoed across regulator and AMFI-aligned investor-education material, is to keep insurance and investment separate: buy a pure term life insurance policy for life cover and a pure health insurance policy for medical cover, rather than combined insurance-cum-investment products, which often deliver weaker returns than a dedicated investment and weaker cover than a dedicated term policy.

11.2 Term insurance

A term insurance plan provides a large life-cover amount for a relatively low premium, paying out to nominees only if the policyholder dies within the policy term; it builds no cash value if the policyholder survives the term. It is generally the most cost-efficient way to protect dependents financially.

11.3 Health insurance

A health insurance policy covers hospitalisation and, depending on the plan, certain outpatient or critical-illness costs, reducing the risk that a medical emergency forces a family to liquidate long-term investments (a direct link back to the emergency-fund and risk discussion in Chapters 2 and 3).

Beginner take-away

Before you invest for growth, ensure you have adequate term life cover (if others depend on your income) and health insurance. This is risk management, and it protects every other financial goal you are working towards.

11.4 How much cover is "enough"?

A commonly used starting rule of thumb for term insurance is cover equal to roughly 10-15 times annual income, adjusted for outstanding loans and specific family circumstances such as young children or dependent parents — the goal is that, if the policyholder were to pass away, the payout could realistically replace lost income and clear major debts for the family left behind. For health insurance, cover should be assessed against realistic hospitalisation costs in your city and family size, keeping in mind that employer-provided health cover typically ends when employment ends.

11.5 IRDAI, the insurance regulator

Insurance in India is regulated separately from securities and banking, by the Insurance Regulatory and Development Authority of India (IRDAI). As with SEBI-registered intermediaries and RBI-regulated banks, checking that an insurer and policy are properly registered and that the agent/advisor selling it is authorised is a basic due-diligence step before purchase.

Part 4

Growing Your Knowledge — Intermediate & Advanced

Chapter 12: IPOs and the Primary Market

12.1 Primary vs secondary market

The primary market is where securities are created and sold for the first time — most visibly through an Initial Public Offering (IPO), when a private company sells shares to the public and lists on an exchange. The secondary market is where already-issued shares are subsequently bought and sold between investors — this is what most people mean by "the stock market" day to day.

12.2 How an IPO works, briefly

A company planning an IPO files a draft prospectus with SEBI, disclosing its business, financials and risk factors. SEBI's role is disclosure-based regulation: it does not certify that an IPO is a good investment, only that the required disclosures have been made so investors can judge for themselves. Retail investors typically apply through the ASBA (Applications Supported by Blocked Amount) process via their bank or broker, in which the application amount is blocked in the investor's own account until shares are allotted, rather than being debited upfront.

12.3 Reading a prospectus, at a beginner level

- Check the purpose of the IPO — is the money raised going into the business (growth capital), or is it existing shareholders selling out (an offer for sale)?
- Look at revenue and profit trends over several years, not a single good quarter.
- Read the "Risk Factors" section — it is often skipped, but it is where a company is legally required to disclose what could go wrong.

Intermediate upgrade

Compare the IPO's valuation multiples (such as price-to-earnings) against listed peers in the same industry, and be wary of investing purely because of high listing-day "grey market" buzz — short-term listing gains are not the same thing as a sound long-term investment.

12.4 Allotment, listing and lock-in

IPO shares are typically oversubscribed for popular offerings, meaning demand exceeds the shares available, so allotment is often done through a lottery-style process for retail investors applying within the retail quota. If allotted, shares are credited to the investor's demat account before the stock lists and begins trading on the exchange, typically within a short window after the issue closes. Promoters and certain pre-IPO investors are usually subject to a lock-in period during which they cannot sell their shares, intended to signal continued commitment to the business post-listing.

Chapter 13: Derivatives and Advanced Instruments

13.1 What a derivative is

A derivative is a contract whose value is derived from an underlying asset — a stock, an index, a commodity or a currency — rather than being ownership of that asset itself. The two most common exchange-traded derivatives in the Indian equity market are futures (an agreement to buy or sell an asset at a set price on a future date) and options (the right, but not the obligation, to buy or sell at a set price within a set period).

13.2 Why they exist, and why beginners should be cautious

Derivatives were originally designed for hedging — allowing a business or investor to protect against adverse price moves. They are also used for speculation, and because they involve leverage (controlling a large position with a relatively small upfront margin), gains and losses are magnified in both directions. SEBI has repeatedly published data and advisories showing that a large majority of individual traders in the futures and options (F&O;) segment lose money over time, and has tightened eligibility and disclosure norms accordingly. This is not a segment for a first-time investor to begin with.

13.3 Other advanced instruments, briefly

- **Exchange-Traded Funds (ETFs)** — traded like a stock but track an index, sector or commodity; generally simpler and lower-cost than active trading.
- **Real Estate Investment Trusts (REITs) and Infrastructure Investment Trusts (InvITs)** — SEBI-regulated instruments that let investors own a share of income-generating real estate or infrastructure assets without buying property directly.
- **Alternative Investment Funds (AIFs)** — pooled, SEBI-registered vehicles (private equity, hedge-fund-like strategies) generally meant for investors with larger capital and higher risk appetite.

Beginner take-away

Master equity, mutual funds, bonds and basic portfolio principles first. Approach derivatives, if at all, only after deliberately studying them separately, with capital you can genuinely afford to lose, and ideally after reading SEBI's own investor advisories on F&O; risk.

13.4 Margin, mark-to-market and why losses can exceed expectations

Trading futures requires posting "margin" — a fraction of the total contract value — which is what creates leverage: a relatively small price move against the position can translate into a large percentage loss on the margin actually deposited. Positions are "marked to market" daily, meaning gains and losses are settled each day, and if losses erode the margin below a required level, the broker issues a margin call requiring additional funds, or may square off the position automatically. This mechanical, daily settlement process is precisely why undisciplined derivatives trading can lead to losses larger and faster than many beginners expect.

Chapter 14: Fundamental Analysis

14.1 The core idea

Fundamental analysis is the practice of estimating a company's true, underlying value by studying its business, financial statements and industry position, then comparing that estimate to its current market price. The premise is that price and value can diverge in the short run but tend to converge over the long run.

14.2 Key financial statements

- **Income statement (Profit & Loss)** — revenue, costs and profit over a period.
- **Balance sheet** — what a company owns (assets) and owes (liabilities) at a point in time, and the resulting shareholders' equity.
- **Cash flow statement** — actual cash moving in and out from operations, investing and financing activities; profit on paper is not the same as cash in the bank.

14.3 A few widely used ratios

Ratio	What it roughly tells you
Price-to-Earnings (P/E)	How much investors are paying for each rupee of current earnings
Price-to-Book (P/B)	Market price relative to the accounting (book) value of the company
Debt-to-Equity	How much the company relies on borrowed money versus owner capital
Return on Equity (ROE)	How efficiently the company generates profit from shareholders' capital

Intermediate upgrade

No ratio should be read in isolation. Compare a company's ratios against its own history and against close industry peers, and always read the ratio alongside the underlying business story — a low P/E can mean a bargain, or it can mean the market correctly expects trouble ahead.

14.4 Qualitative factors alongside the numbers

Financial ratios describe the past; qualitative research tries to assess the future. Useful questions include: does the company have a durable competitive advantage (brand, cost structure, network effects, patents) that competitors cannot easily copy? How experienced and how aligned with shareholders is the management team — do promoters hold a meaningful stake, and has the company treated minority shareholders fairly in the past? Is the industry itself growing, stable, or shrinking? None of these questions have a single numeric answer, which is exactly why they are easy to skip — but they often matter more to long-term outcomes than any single ratio.

14.5 Annual reports and disclosures

Listed companies are required by SEBI's disclosure norms to publish annual reports, quarterly results, and material announcements (such as a large order win, a management change, or a

regulatory action) on the stock exchange's website. Reading at least the chairman's letter, the management discussion and analysis section, and the auditor's report in an annual report gives a far more complete picture than headline news coverage alone.

14.6 A simplified worked comparison

Consider two hypothetical companies in the same industry. Company X trades at a P/E of 15, has a debt-to-equity ratio of 0.3, and an ROE of 18%. Company Y trades at a P/E of 35, has a debt-to-equity ratio of 1.8, and an ROE of 12%. On the surface, Company Y's higher P/E suggests the market expects faster future growth, but its considerably higher debt load and lower return on equity are reasons for caution — higher debt increases financial risk, and a lower ROE suggests less efficient use of shareholder capital. Neither company is automatically the "better" investment from these numbers alone; the exercise illustrates why ratios should be read together, and alongside the qualitative business story, rather than any single number being treated as a verdict on its own.

Chapter 15: Technical Analysis Basics

15.1 The core idea

Technical analysis studies historical price and volume patterns on charts to inform trading decisions, on the premise that price action reflects all available information and that certain patterns tend to repeat because of recurring patterns in market psychology. It is used more by short-to-medium-term traders than by long-term investors, though many market participants use a blend of both approaches.

15.2 A few common concepts

- **Support and resistance** — price levels where a stock has historically tended to stop falling (support) or stop rising (resistance).
- **Moving averages** — the average price over a set period (e.g., 50-day, 200-day), used to smooth out short-term noise and identify trend direction.
- **Volume** — the number of shares traded; a price move on unusually high volume is generally considered more significant than the same move on low volume.

Beginner take-away

Technical analysis is a specialised skill best explored only after you are already comfortable with the basics of how markets and companies work; it is not a shortcut that replaces understanding what you are actually buying.

15.3 Chart types and trend

Line charts show closing prices over time in their simplest form, while candlestick charts additionally show the opening, high, low and closing price for each period, giving a richer picture of intraday sentiment through the shape and colour of each "candle." An uptrend is broadly characterised by a pattern of progressively higher highs and higher lows, while a downtrend shows progressively lower highs and lower lows — traders often look for a trend before deciding whether to act, on the general premise that "the trend is your friend" more often than not.

15.4 A word of caution on indicators

Dozens of technical indicators exist (RSI, MACD, Bollinger Bands, and many others), each attempting to quantify momentum, overbought/oversold conditions, or volatility. No single indicator works reliably in all market conditions, and over-reliance on indicators without understanding their underlying logic and limitations is a common mistake among newer traders. Any technical strategy should be studied, paper-traded (i.e. practiced without real money) and understood thoroughly before being used with actual capital.

Chapter 16: Portfolio Construction and Asset Allocation

16.1 Asset allocation is the main decision

Extensive research on portfolio performance points to one consistent conclusion: how you split your money across broad asset classes (equity, debt, gold, cash) explains far more of your long-term outcome than which specific stock or fund you pick within each class. Asset allocation should flow directly from your goals, time horizon and risk profile discussed in Chapters 2 and 3.

16.2 A simple illustrative framework

One commonly cited rule of thumb suggests keeping a rough percentage in equity equal to "100 minus your age," with the rest in safer instruments — a 25-year-old might hold around 75% equity, a 55-year-old closer to 45%. This is a starting heuristic, not a formula to follow blindly; personal circumstances, income stability and comfort with volatility should always adjust the exact numbers.

16.3 Diversification

Diversification means spreading investments across assets that do not all move in exactly the same direction at the same time, so that a downturn in one part of the portfolio is cushioned by stability or gains elsewhere. Diversification applies within an asset class too — for example, across sectors and company sizes within equity — not just across asset classes.

16.4 Rebalancing

Over time, strong-performing assets grow to a larger share of the portfolio than originally intended, quietly increasing your overall risk. Rebalancing — periodically selling a portion of the outperforming asset and adding to the underperforming one to restore your target allocation — is a simple, disciplined way to keep risk in check and, as a side effect, tends to enforce a "buy low, sell high" habit.

Intermediate/Advanced upgrade

Track your portfolio's overall allocation across all accounts and products together (bank deposits, mutual funds, direct equity, PPF, and so on), not fund by fund, and rebalance on a fixed schedule (such as annually) or when an asset class drifts beyond a set band (for example, plus or minus 5 percentage points from target) rather than reacting to market headlines.

16.5 Correlation, briefly

Correlation describes how closely two assets move together. Assets with low or negative correlation to each other provide the most diversification benefit, because they are less likely to fall at the same time for the same reason. Equity and gold, for example, have historically shown relatively low correlation in many periods, which is one reason a small gold allocation is sometimes included even in an equity-heavy portfolio — not for high returns, but as a diversifier that can behave differently during equity market stress.

16.6 A simple worked allocation

Consider a hypothetical 30-year-old with a moderate risk profile, no major near-term goals, and a long-term retirement horizon, working with a monthly investable surplus of ₹20,000 after the emergency fund and insurance are already in place. A moderate illustrative split might allocate roughly 60% (₹12,000) to diversified equity mutual funds via SIP, 20% (₹4,000) to debt funds or PPF for the conservative core, 10% (₹2,000) to a mid/small-cap fund for a higher-growth tilt, and 10% (₹2,000) to gold (via Sovereign Gold Bonds or a gold ETF) for diversification. This is illustrative only; the right split for any individual depends on their own goals, dependents and comfort with volatility, as discussed throughout Chapters 2, 3 and this chapter.

Part 5

Protecting Your Money

Chapter 17: Taxation of Investments in India

17.1 Capital gains, the general idea

When you sell an investment for more than you paid, the profit is a capital gain, and it is generally taxable. Indian tax law distinguishes between Short-Term Capital Gains (STCG) and Long-Term Capital Gains (LTCG) based on how long the asset was held before sale, with the holding-period threshold and applicable tax rate differing by asset type (for example, listed equity shares and equity mutual funds are treated differently from debt mutual funds, bonds, or real estate).

17.2 Dividends

Dividends received from shares or distributions from mutual funds are taxable in the hands of the investor at their applicable income-tax slab rate, under current law — a shift from an earlier regime, which is a good example of why tax rules specifically need to be re-checked against current, official sources rather than memorised once and assumed to be permanent.

17.3 Tax-advantaged instruments

Certain instruments carry specific tax benefits under the Income Tax Act — for instance, PPF enjoys tax-exempt status on contribution, growth and withdrawal under conditions in effect as of this guide's preparation, and instruments such as ELSS (Equity Linked Savings Scheme) mutual funds combine equity exposure with a tax deduction under specified sections, subject to a lock-in period. These benefits, limits and lock-ins change with the annual Union Budget, so always verify current provisions before relying on them.

Beginner take-away

Taxation should influence, but never solely drive, an investment decision — a product should first make sense for your goal and risk profile, with tax efficiency as a secondary consideration. Because tax rules change frequently, treat any specific rate or limit in this guide as a concept to verify, not a number to memorise permanently.

17.4 TDS on investments

Tax Deducted at Source (TDS) applies to several investment-related payments — for example, banks deduct TDS on fixed-deposit interest above a specified threshold in a financial year, and TDS provisions also apply to certain mutual fund and dividend payouts. TDS is an advance collection of tax, not a final tax in itself — it is adjusted against your total tax liability when you file your annual income tax return, and any excess deducted is refundable.

17.5 Why keeping records matters

Contract notes, account statements, capital gains statements from mutual funds/brokers, and Form 26AS/AIS (which show taxes already deducted or reported against your PAN) are the documents typically needed to file taxes accurately and to substantiate figures if the tax department ever raises a query. Keeping a simple, organised record as you invest is far easier

than reconstructing a year's transactions at tax-filing time.

Chapter 18: Common Mistakes, Scams and Frauds to Avoid

18.1 Behavioural mistakes

- **Chasing past performance** — a fund or stock's strong recent returns do not guarantee it will repeat them; past performance is disclosed for context, not as a promise.
- **Herd mentality / FOMO** — buying purely because "everyone is buying" tends to mean buying after most of the gain has already happened.
- **Panic-selling** — exiting investments during a market fall converts a temporary, paper loss into a permanent, realised one.
- **Over-concentration** — putting most or all money into a single stock, sector, or one relative's "sure thing" tip.
- **Ignoring costs** — expense ratios, exit loads and brokerage may look small individually but compound significantly over long horizons.

18.2 Common fraud patterns to recognise

- **Guaranteed/fixed high-return schemes** — genuine market-linked products cannot guarantee a fixed high return; this promise is the single most common feature of Ponzi-style schemes.
- **Unregistered "advisors" and tip-sellers** — operating through social media, messaging apps or paid "courses," often without any verifiable SEBI registration.
- **Pump-and-dump schemes** — coordinated buying and promotion of a thinly traded stock to inflate its price, followed by the promoters selling out, leaving later buyers with losses.
- **Fake trading apps and cloned websites** — mimicking the look of legitimate brokers or exchanges to collect deposits that are never actually invested.
- **Phishing for KYC/OTP details** — fraudsters posing as bank, broker or regulator representatives to extract login credentials or one-time passwords.

18.3 A simple checklist before you commit money

- Is the entity/product registered with SEBI, RBI, or IRDAI (for insurance), and can I verify that on the regulator's own website?
- Does the return promised sound realistic compared to the broad asset-class ranges discussed in this guide?
- Do I understand, in my own words, exactly what I am buying and how it makes money?
- Have I read the actual scheme document / prospectus, not just a summary or an advertisement?
- Am I investing because of research, or because of pressure, urgency, or fear of missing out?

Beginner take-away

SEBI, RBI and AMFI all publish investor-alert lists and advisories about known fraudulent entities and schemes on their official websites — checking these before a large or unfamiliar investment takes a few minutes and can prevent a significant loss.

18.4 Why these schemes keep working

Fraudulent schemes persist not because people are careless, but because they are engineered around well-known psychological triggers: urgency ("offer closes tonight"), social proof (fake testimonials, inflated follower counts), authority (impersonating regulators or well-known institutions), and reciprocity (a small early "win" or referral bonus that builds trust before the real ask). Recognising these patterns in the abstract makes it considerably easier to notice them in the moment, even when a specific pitch feels novel or convincing.

18.5 If you think you've been targeted or defrauded

- Stop all further payments and communication immediately.
- Preserve evidence — screenshots, messages, transaction references, app names and URLs.
- Report to your bank/broker to flag or freeze suspicious transactions where possible.
- File a complaint with the relevant regulator (SCORES for securities-related fraud) and, for financial cyber fraud, India's National Cyber Crime Reporting Portal.
- Report to the local police/cyber-crime cell for a formal complaint, which is often required for further recovery action.

Chapter 19: Retirement Planning: EPF, NPS and PPF

19.1 Employees' Provident Fund (EPF)

For salaried employees in eligible organisations, a portion of salary is compulsorily contributed to the EPF, matched by an employer contribution, and the accumulated corpus earns an annually declared interest rate, payable broadly at retirement or under specified conditions. It forms the retirement backbone for a large share of India's salaried workforce.

19.2 National Pension System (NPS)

The NPS is a voluntary, long-term retirement savings scheme open to most Indian citizens, in which contributions are invested across a mix of equity, corporate bonds and government securities, with the investor choosing the mix (within limits) or opting for an automatic, age-based allocation. At retirement, a portion of the accumulated corpus must be used to purchase an annuity (a product paying a regular pension), while the remainder can typically be withdrawn.

19.3 Public Provident Fund (PPF)

As introduced in Chapter 10, PPF is a long-term, government-backed savings instrument open to any resident individual, not tied to employment, making it a popular retirement-savings complement, particularly for the self-employed or for supplementing EPF/NPS.

Scheme	Who it's for	Broad investment mix
EPF	Salaried employees (eligible organisations)	Primarily fixed-income, government-declared rate
NPS	Any citizen, voluntary	Mix of equity, corporate bonds, government securities (investor choice)
PPF	Any resident individual, voluntary	Fixed, government-declared rate

Beginner take-away

Retirement planning benefits enormously from an early start because of compounding (Chapter 2); even small, consistent contributions to EPF, NPS or PPF begun in your twenties can build a materially larger corpus than larger contributions begun a decade later.

19.4 Estimating how much you'll need

A common starting approach is to estimate current annual expenses, adjust for expected inflation over the years remaining until retirement, and then apply a sustainable withdrawal assumption (many planners use a rough starting figure around 4% of the corpus per year, adjusted for individual circumstances and market conditions) to back-calculate the corpus required. This is a simplified planning exercise, not a precise formula, and it is worth revisiting every few years as income, expenses and goals evolve.

Chapter 20: Investor Grievance Redressal (SCORES, Ombudsman, ODR)

20.1 SCORES — SEBI's grievance portal

SCORES (SEBI Complaints Redress System) is SEBI's centralised online portal for investors to lodge complaints against listed companies, brokers, mutual funds, depositories and other SEBI-registered intermediaries. Complaints are forwarded to the entity concerned, with defined timelines for a response, and escalation paths if a complaint is not resolved satisfactorily.

20.2 Online Dispute Resolution (ODR)

SEBI has also established an Online Dispute Resolution mechanism, allowing investors whose grievances are not resolved through an intermediary's internal process or SCORES to pursue conciliation and arbitration through a common, online, industry-standard process, reducing the cost and complexity of pursuing a dispute independently.

20.3 Banking Ombudsman / RBI Integrated Ombudsman Scheme

For grievances against banks, NBFCs, or other RBI-regulated entities, the RBI's Integrated Ombudsman Scheme provides a free, centralised grievance redressal mechanism that can be approached once the entity's own internal grievance channel has been tried first and either fails to respond or fails to resolve the issue satisfactorily within a defined period.

20.4 A general escalation path

- Step 1: Raise the complaint directly with the company, bank, broker or AMC's own grievance/customer-service channel.
- Step 2: If unresolved within the defined timeline, escalate through SCORES (securities market) or the RBI Ombudsman (banking/NBFC).
- Step 3: If still unresolved, pursue the applicable Online Dispute Resolution or Ombudsman appeal process.

Beginner take-away

Knowing that a free, structured, regulator-backed complaint mechanism exists — and roughly how to reach it — is itself a form of investor protection; keep records (emails, screenshots, transaction statements) of any dispute from the start, since they are typically required at every escalation step.

20.5 Insurance and other grievances

For insurance-related disputes, IRDAI (mentioned in Chapter 11) operates its own Integrated Grievance Management System and an insurance ombudsman network, following a broadly similar pattern: raise it with the insurer first, then escalate if unresolved. Across banking, securities and insurance, the common thread is that every regulator provides a free, structured escalation path — using it is a right, not a favour, and it typically costs nothing beyond time and paperwork.

20.6 What information to keep ready

- Account/folio/policy numbers and the exact entity name involved.
- Dates, amounts and a clear, factual timeline of what happened.
- Copies of all correspondence with the company, including its own complaint reference number.
- Any promotional material or communication that may have been misleading, if relevant to the complaint.

Chapter 21: Case Studies: Sample Portfolios by Life Stage

The following illustrative profiles are teaching examples only, meant to show how the concepts from earlier chapters combine in practice — they are not personalised recommendations, and a real portfolio should always reflect your own income, goals, dependents and comfort with risk.

Case A: College student, first-time investor

Profile: 20 years old, part-time income and family support, no dependents, very long time horizon, still learning. Priorities: build financial literacy and small, consistent habits rather than chasing returns.

- Start with a savings account and a small emergency cushion, even if modest.
- Begin a small SIP (for example ₹500-1,000/month) in a diversified, direct-plan equity or index mutual fund purely to build the habit and learn how NAV, statements and SIPs work in practice.
- Avoid derivatives, IPO speculation, or borrowed money for investing at this stage — the goal is learning with limited capital at risk, not maximising short-term returns.

Case B: Early-career professional, first full-time salary

Profile: 24 years old, stable monthly income, no major debt, no dependents yet, 20-30+ year horizon for long-term goals. Priorities: build the emergency fund fully, start term and health insurance, and set a real asset-allocation plan.

- Emergency fund: 3-6 months of expenses in a savings account or liquid fund, built up over the first year of employment.
- Term life insurance only if there are dependents; health insurance regardless (even a basic policy, if not already covered by an employer).
- A higher equity tilt (consistent with the long horizon) split across a couple of diversified equity mutual funds via SIP, plus a small allocation to PPF or NPS for tax-advantaged long-term saving.
- Begin learning fundamental analysis and direct equity gradually with a small, separate portion of the portfolio, once mutual fund basics feel comfortable.

Case C: Mid-career professional with dependents

Profile: 35 years old, family with dependents, an existing home loan, 15-20 year horizon for major goals like children's education and retirement. Priorities: adequate insurance cover sized to

income and liabilities, balanced asset allocation, and explicit goal-based investing.

- Term insurance cover sized to replace income and clear major liabilities (such as an outstanding home loan) for dependents, reviewed periodically as income and liabilities change.
- A mix of equity mutual funds for long-horizon goals (retirement, children's higher education) and debt instruments or hybrid funds for medium-term goals (5-7 years out).
- Continue EPF/NPS contributions; consider Sovereign Gold Bonds or a small gold allocation for further diversification.
- Annual portfolio review and rebalancing against target allocation, rather than reacting to market news.

Case D: Investor approaching retirement

Profile: 55 years old, retirement 5-10 years away, priority shifting from growth to capital preservation and income generation. Priorities: gradually reduce equity exposure, increase allocation to debt and fixed-income instruments, and plan the eventual income stream.

- Gradually shift the asset mix towards debt funds, government securities, and fixed deposits as retirement approaches, reducing exposure to short-term equity volatility.
- Plan for NPS annuitisation rules and EPF withdrawal timing well in advance.
- Maintain a larger liquid buffer, since income from employment will eventually stop and portfolio withdrawals will begin funding expenses directly.
- Review health insurance cover carefully, since healthcare costs typically rise with age and employer-provided cover (if any) will end at retirement.

The pattern across every case

In each profile, the sequence is the same: protect first (emergency fund, insurance), then invest according to goals and time horizon, then diversify, and then review and rebalance periodically. Only the exact allocation numbers change with age, income and dependents — the underlying framework from Chapters 1 to 16 does not.

Case E: Self-employed individual with irregular income

Profile: 30 years old, freelance/business income that varies month to month, no employer-provided EPF or health insurance, moderate risk appetite. Priorities: build a larger emergency fund than a salaried counterpart (given income variability), and actively arrange retirement and health cover that would otherwise come through an employer.

- A larger emergency fund — often 6-12 months of expenses rather than the standard 3-6, given irregular cash flow.
- Independently arranged health insurance, since there is no employer group cover to fall back on.
- PPF and/or NPS for retirement, since there is no EPF; contributions can be made flexibly to match variable income rather than as a fixed monthly amount.

- A SIP amount set conservatively based on the lowest realistic monthly income, with any surplus in strong months directed to a top-up lump sum rather than raising the fixed SIP amount, to avoid the stress of missed contributions during lean months.

Chapter 22: Frequently Asked Questions

Q: How much money do I need to start investing?

There is no meaningful minimum for most products discussed in this guide — mutual fund SIPs can often start at ₹100-500 a month, and a savings account has no minimum balance requirement under many "basic" account types. The amount matters far less than starting the habit early and increasing it as income grows.

Q: Is investing in the stock market the same as gambling?

No. Gambling is a zero-sum activity with no underlying productive asset — the outcome depends purely on chance. Investing in a share means owning part of a real business that produces goods, services and profits over time; returns are linked, however imperfectly in the short run, to the performance of the underlying economy and companies. Short-term, highly leveraged speculation (such as uninformed options trading) can behave much more like gambling, which is one reason this guide repeatedly urges caution with derivatives for beginners.

Q: Should I invest a lump sum or use a SIP?

If you already hold a large lump sum and markets are not clearly overvalued, investing it in stages over several months (sometimes called a "lump sum SIP" or systematic transfer plan) can reduce the risk of investing everything right before a downturn, while still putting the money to work reasonably quickly. For regular monthly savings from income, a SIP is the natural fit.

Q: What is the difference between saving and investing?

Saving generally means setting aside money in safe, highly liquid instruments (a savings account, a short-term FD) primarily to preserve capital and meet near-term needs. Investing means deploying money into instruments that carry some risk in exchange for the potential of higher, inflation-beating returns over a longer horizon. Both are necessary; they simply serve different goals and time horizons, as set out in Chapter 2.

Q: Can I lose all my money in a mutual fund?

It is extremely unlikely to lose the entire invested amount in a well-diversified mutual fund, since the fund holds many securities rather than a single one, and the fund's assets are held separately from the AMC's own assets under SEBI regulation. However, the value of your holding can still fall significantly in adverse market conditions, particularly for equity-oriented schemes over short periods — this is market risk, not fraud risk, and it is a normal, expected feature of the asset class over short time frames.

Q: How do I check if an advisor or scheme is genuine?

Search for the entity's registration number on the official SEBI, RBI or AMFI website (depending on the product), read the actual scheme or product document rather than marketing material, and check the applicable regulator's public investor-alert list for any warnings before proceeding, as outlined in Chapter 18.

Q: Do I need a financial advisor?

Not necessarily, especially for straightforward goals like a diversified mutual fund SIP — many investors manage this comfortably on their own using regulator and AMFI investor-education material as a guide. A SEBI-registered investment adviser can add value for more complex situations (significant wealth, multiple goals, tax planning, estate considerations), but always verify their registration first, as described in Chapter 5.

Q: What happens to my investments if a broker or fund house shuts down?

Mutual fund investments are held in the investor's own name/folio and ring-fenced from the AMC's own balance sheet under SEBI regulation, so an AMC's business troubles do not directly wipe out unit-holder assets, though a scheme's underlying investments still carry normal market risk. Shares held in a demat account belong to the investor, not the broker, and are held with a depository (NSDL/CDSL) rather than the broker itself — brokers only route orders and provide the trading interface, which is precisely why opening the depository/broker structure this way protects investors if a broker faces financial trouble.

Q: Is it better to pay off debt or invest first?

As a general rule, high-interest debt (such as credit card dues) should be cleared before starting new investments, since few investments reliably earn more than typical credit-card interest rates. Lower-interest, long-tenure debt (such as some home loans) is a more case-by-case decision, weighing the loan's interest rate against realistic expected investment returns and the value of maintaining liquidity.

Q: How often should I check my investments?

For long-term SIPs and buy-and-hold portfolios, checking once a quarter or twice a year is generally sufficient to confirm everything is on track — checking daily tends to increase anxiety and the temptation to react to short-term noise without adding any real benefit to a long-term plan.

Part 6

Reference — Glossary, Cheat-Sheet and Resources

Chapter 23: Glossary of Key Terms

AMC (Asset Management Company) — The company that manages a mutual fund's investments on behalf of unit-holders.

ARN — AMFI Registration Number, held by certified mutual fund distributors.

Asset allocation — The split of a portfolio across broad asset classes such as equity, debt, gold and cash.

Bear market — A prolonged period of falling prices across the broader market.

Benchmark — An index or standard (such as Nifty 50) that a fund's performance is compared against.

Bull market — A prolonged period of rising prices across the broader market.

Capital gain — Profit earned from selling an investment for more than its purchase price.

Credit rating — An assessment (e.g., AAA, AA) of an issuer's ability to repay its debt obligations.

Demat account — An account that holds securities in electronic form.

Diversification — Spreading investments to reduce the impact of any single asset's poor performance.

Dividend — A portion of a company's profit distributed to shareholders.

DICGC — Deposit Insurance and Credit Guarantee Corporation, which insures bank deposits up to a specified limit.

Expense ratio — The annual fee a mutual fund charges, expressed as a percentage of assets managed.

Exit load — A fee charged for redeeming mutual fund units before a specified holding period.

Folio number — A unique account number identifying an investor's mutual fund holdings with an AMC.

Gilt — Another term for a government security.

IPO — Initial Public Offering — the first sale of a company's shares to the public.

KYC — Know Your Customer — the identity/address verification process required before investing.

Liquidity — How quickly and easily an asset can be converted to cash without a significant price impact.

Lock-in period — A minimum duration for which an investment cannot be withdrawn or sold.

LTCG / STCG — Long-Term / Short-Term Capital Gains — profit from selling an asset, taxed differently based on holding period.

Market capitalisation — The total market value of a company's outstanding shares.

NAV — Net Asset Value — the per-unit value of a mutual fund scheme.

NISM — National Institute of Securities Markets, which conducts certification exams for market professionals.

Nifty 50 / Sensex — Benchmark stock market indices tracked on the NSE and BSE respectively.

NPS — National Pension System — a voluntary, government-backed retirement savings scheme.

P/E ratio — Price-to-Earnings ratio — market price per share divided by earnings per share.

Portfolio — The complete collection of an investor's holdings across asset classes.

Prospectus — A legal document disclosing details of a securities offering, such as an IPO.

Rebalancing — Adjusting a portfolio back to its intended asset allocation after market movements shift it.

Riskometer — A SEBI-mandated visual scale showing a mutual fund scheme's risk level.

SIP — Systematic Investment Plan — investing a fixed amount at regular intervals.

Sovereign Gold Bond (SGB) — A government security denominated in grams of gold, issued by the RBI on behalf of the government.

Volatility — The degree to which an asset's price fluctuates over time.

Yield — The income return on an investment, often expressed as a percentage of its price.

Chapter 24: Quick Revision Cheat-Sheet

Before you invest, in one page

- Build an emergency fund (3-6 months of expenses) before investing for growth.
- Get term life insurance (if others depend on your income) and health insurance first.
- Attach every investment to a specific goal and time horizon.
- Match the product's risk to your own risk profile and horizon — never chase return alone.
- Check regulatory registration (SEBI/RBI/AMFI/IRDAI) before trusting anyone with your money.
- Prefer Direct plans over Regular plans for mutual funds once you're comfortable investing independently.
- Diversify across and within asset classes; avoid concentration in a single stock or scheme.
- Rebalance periodically to keep your intended risk level intact.
- Start early and stay consistent — compounding rewards time far more than timing.
- Ignore "guaranteed high return" promises — they are the clearest single warning sign of fraud.

Regulator quick-reference

Regulator	Primary domain	Investor-facing tool
RBI	Banks, NBFCs, currency, monetary policy, G-Secs	RBI Retail Direct, Integrated Ombudsman Scheme, DICGC
SEBI	Stock market, mutual funds, brokers, advisers	SCORES portal, ODR, riskometer, investor alerts
AMFI	Mutual fund industry standards and education	NAV data, ARN verification, "Mutual Funds Sahi Hai"

Beginner vs Intermediate focus, at a glance

Stage	Focus areas
Beginner	Emergency fund, insurance, savings/FD basics, SIP in a diversified mutual fund, understanding risk and reg
Intermediate	Direct equity basics, bonds/G-Secs, asset allocation and rebalancing, fund-level due diligence, taxation
Advanced	Derivatives (with caution), REITs/InvITs/AIFs, fundamental and technical analysis, active portfolio managem

Chapter 25: Official Resources and Where to Verify Facts

Because rules, limits, tax slabs and portal names change, always verify current details on the official websites below before making a decision — this guide explains lasting concepts, but numbers should always be confirmed at the source.

Organisation	What to look for there
SEBI (sebi.gov.in)	Investor alerts, SCORES portal, registered-intermediary search, circulars
RBI (rbi.org.in)	Monetary policy updates, RBI Retail Direct, Ombudsman Scheme, DICGC insurance li
AMFI (amfiindia.com)	Daily NAVs, ARN/distributor verification, mutual fund investor education
NSE (nseindia.com) / BSE (bseindia.com)	Live and historical market data, company disclosures, circulars
Income Tax Department (incometax.gov.in)	Current capital gains rules, deductions and slab rates

Closing note

This guide is a study companion, not financial advice, and it does not replace reading the actual scheme documents, prospectuses and regulator circulars relevant to any product you choose. The habit worth carrying forward from every chapter here is the same one: understand first, verify with the official source, and only then invest.

Appendix: Step-by-Step Account-Opening Checklist

A.1 Opening a savings bank account

- Choose a bank based on branch/digital convenience, minimum balance rules and interest rate.
- Keep PAN, Aadhaar (or another valid address/ID proof) and a passport-size photo ready.
- Complete either in-branch KYC or, where offered, video/e-KYC through the bank's app.
- Set up net banking and UPI once the account is active, and register for SMS/email alerts on transactions.

A.2 Opening a demat and trading account

- Pick a SEBI-registered stockbroker/depository participant; compare brokerage charges, platform usability and customer support.
- Complete online KYC — PAN, Aadhaar-linked e-sign, bank account linking and a short in-person or video verification.
- Fund the trading account via net banking/UPI before placing your first order.
- Familiarise yourself with the platform in a demo or with very small amounts before committing significant capital.

A.3 Starting your first mutual fund SIP

- Complete one-time KYC via a fund house, registrar, or investment platform.
- Decide the scheme category matching your goal and horizon (Chapters 2, 9 and 16).
- Choose Direct plan and growth option (rather than dividend/IDCW) for most long-term, first-time SIPs, unless you have a specific reason for a different choice.
- Set up an auto-debit mandate (e-NACH or UPI Autopay) so contributions happen automatically.
- Save the folio number and keep annual capital-gains statements for tax filing.

A.4 Opening an RBI Retail Direct gilt account

- Register on the RBI Retail Direct portal with PAN, a bank account and a valid mobile/email.
- Complete the KYC process, which is largely online.
- Use the account to bid for and hold government securities and Treasury Bills directly, without a broker.

A.5 A general first-90-days plan for a complete beginner

- Days 1-30: Track income and expenses; open or review your savings account; start building an emergency fund.
- Days 31-60: Get term and health insurance quotes and finalise adequate cover; complete mutual fund KYC.
- Days 61-90: Start a small SIP in a diversified equity or hybrid fund; read one chapter of this guide per week to build understanding alongside the habit.

Part 7

Extended Glossary — 150+ Additional Terms

Extended Glossary of Financial and Market Terms

The following terms extend the core glossary in Chapter 23, covering banking, markets, mutual funds, taxation, insurance, macroeconomics and regulatory terminology commonly encountered in Indian financial media, scheme documents and exam syllabi. Terms are grouped by broad theme for easier revision.

Banking and Money

Base Rate — The minimum interest rate below which a bank was earlier not permitted to lend, now largely replaced by MCLR/repo-linked lending rates.

CASA ratio — The proportion of a bank's deposits held in low-cost Current and Savings Accounts, relevant to a bank's cost of funds.

Cash Reserve Ratio (CRR) — The percentage of a bank's deposits that must be kept with the RBI in cash form, a monetary policy tool.

Statutory Liquidity Ratio (SLR) — The percentage of deposits banks must maintain in approved liquid assets like government securities.

MCLR — Marginal Cost of Funds based Lending Rate, an internal benchmark banks use to price loans.

NPA (Non-Performing Asset) — A loan on which the borrower has stopped making scheduled interest or principal payments.

Overdraft — A credit facility allowing an account holder to withdraw more than their account balance, up to a sanctioned limit.

Prime Lending Rate — A historical reference rate banks used for pricing loans to their most creditworthy customers.

Repo Rate — The rate at which the RBI lends short-term funds to commercial banks against securities.

Reverse Repo Rate — The rate at which the RBI borrows funds from banks, absorbing excess liquidity from the system.

Term Deposit — A general term covering fixed and recurring deposits held for a specified tenure.

Nomination — A facility allowing an account or investment holder to name a person to receive the balance in the event of the holder's death.

Standing Instruction — An automated instruction to a bank to make a recurring payment or transfer on a fixed schedule.

Cheque Truncation System (CTS) — An electronic cheque-clearing system that eliminates the need to physically move cheques between banks.

Wallet (e-wallet) — A digital, prepaid account used to store money for making payments, regulated as a prepaid payment instrument.

Markets and Trading

Ask/Offer price — The price at which a seller is willing to sell a security.

Bid price — The price at which a buyer is willing to buy a security.

Bid-ask spread — The difference between the bid and ask price, a measure of a security's liquidity/trading cost.

Blue-chip stock — Shares of a large, financially sound, well-established company with a reliable track record.

Circuit breaker — A mechanism that halts trading temporarily when prices move beyond a defined limit, to curb panic.

Contract note — A legal document a broker issues confirming the details of an executed trade.

Delivery trade — A trade where shares are actually transferred into the buyer's demat account, as opposed to an intraday trade.

Face value — The nominal value of a share or bond as stated by the issuer, distinct from its market price.

Free float — The portion of a company's shares available for public trading, excluding promoter and locked-in holdings.

Gap up / Gap down — A significant difference between a security's previous closing price and its next opening price.

Intraday trading — Buying and selling a security within the same trading day, without taking delivery.

Lot size — The minimum quantity in which a derivative contract can be traded.

Market order vs Limit order — A market order executes immediately at the best price; a limit order executes only at a specified price or better.

Order book — The list of outstanding buy and sell orders for a security at various price levels.

Penny stock — A low-priced, often small and thinly traded stock, generally associated with high risk and manipulation potential.

Pledge — Using shares held in a demat account as collateral, typically to secure a loan or margin facility.

Promoter — An individual or entity that holds a controlling stake and plays a founding/leading role in a company.

Record date — The date set by a company to determine which shareholders are eligible for a dividend, bonus, or other corporate action.

Rights issue — An offer allowing existing shareholders to buy additional shares, usually at a discount, in proportion to their holding.

Short selling — Selling a security one does not currently own, anticipating a price fall, in order to buy it back later at a lower price.

Stop-loss — An order that automatically triggers a sale once a security falls to a specified price, limiting downside.

Tick size — The minimum price movement allowed for a security on an exchange.

Volume Weighted Average Price (VWAP) — The average price of a security over a period, weighted by trading volume.

Weighted average — A calculation that gives different importance (weights) to different values, often used for portfolio returns or index construction.

Mutual Funds and Investment Products

AUM (Assets Under Management) — The total market value of investments a fund or AMC manages on behalf of investors.

Benchmark index — A standard index against which a fund's performance is measured.

CAGR — Compound Annual Growth Rate — the smoothed annual rate of return over a period, accounting for compounding.

Close-ended fund — A mutual fund scheme with a fixed maturity date and limited window for fresh investment/redemption.

Dividend/IDCW option — A mutual fund plan option that periodically pays out a portion of gains, now formally called the Income Distribution cum Capital Withdrawal option.

ELSS — Equity Linked Savings Scheme — a tax-saving equity mutual fund with a statutory lock-in period.

Exit load — A charge deducted when units are redeemed before a specified holding period.

Factor fund — A fund that selects stocks based on a specific quantitative factor such as value, momentum, or quality.

Fund of funds — A mutual fund that invests in units of other mutual funds rather than directly in securities.

Growth option — A mutual fund plan option where gains are reinvested in the scheme rather than distributed, growing the NAV over time.

Index fund — A passively managed fund that replicates the composition and performance of a specific market index.

New Fund Offer (NFO) — The initial subscription period during which a new mutual fund scheme is offered to investors.

Open-ended fund — A mutual fund scheme that allows continuous purchase and redemption of units at the prevailing NAV.

Portfolio turnover ratio — A measure of how frequently a fund buys and sells securities within its portfolio over a year.

Rolling returns — Returns calculated for a fixed period, moved forward one day/month/year at a time, giving a fuller picture of consistency than point-to-point returns.

SIP top-up / step-up SIP — A facility to automatically increase the SIP instalment amount at defined intervals, often to keep pace with rising income.

STP (Systematic Transfer Plan) — A facility to transfer a fixed amount periodically from one mutual fund scheme to another, often debt to equity.

SWP (Systematic Withdrawal Plan) — A facility to withdraw a fixed amount periodically from a mutual fund investment, often used for regular income.

Total Expense Ratio (TER) — The all-inclusive annual cost of running a mutual fund scheme, expressed as a percentage of assets.

Tracking error — The extent to which an index fund's returns deviate from its underlying benchmark index.

Unit capital — The total value of a mutual fund scheme's outstanding units at face value.

Taxation

Advance tax — Income tax paid in instalments during the financial year, rather than as a lump sum after year-end, when liability crosses a threshold.

AIS (Annual Information Statement) — A comprehensive statement showing financial transactions reported against a taxpayer's PAN.

Assessment year — The year following the financial year, in which income earned is assessed and taxed.

Cost inflation index (CII) — An index published annually used to adjust the purchase cost of certain assets for inflation when computing long-term capital gains.

Deduction — An amount subtracted from gross total income before computing tax, under specified sections of the Income Tax Act.

Exemption — Income that is excluded from tax altogether, as opposed to a deduction which reduces taxable income.

Financial year (FY) — The 12-month period, April to March in India, for which income and tax are computed.

Form 16 — A certificate issued by an employer showing salary paid and tax deducted at source during the year.

Form 26AS — A consolidated tax statement showing taxes deducted, collected, and paid against a taxpayer's PAN.

Grandfathering (tax) — A provision that protects gains accumulated up to a certain date from a newly introduced tax rule.

Indexed cost of acquisition — The purchase cost of an asset adjusted upward for inflation using the CII, used to reduce taxable long-term capital gains on certain assets.

Set-off and carry forward of losses — Provisions allowing a capital loss to be adjusted against gains in the same or future years, subject to conditions.

Surcharge — An additional charge on income tax applicable above certain income thresholds.

Tax slab — Income brackets to which different income tax rates apply.

Insurance

Claim settlement ratio — The percentage of claims an insurer has settled out of all claims received in a period, a useful comparison metric.

Free-look period — A window after purchasing a policy during which the policyholder can cancel it for a full or near-full refund if unsatisfied.

Grace period — The extra time allowed after a premium due date during which a policy remains in force without lapsing.

Nominee — The person designated to receive the insurance payout in the event of the policyholder's death.

Policy lapse — The termination of insurance cover due to non-payment of premium within the grace period.

Premium — The amount paid, usually periodically, to keep an insurance policy in force.

Rider — An add-on benefit attached to a base insurance policy for an additional premium, such as accidental death or critical illness cover.

Sum assured — The guaranteed amount payable under a life insurance policy on a specified event, such as death or maturity.

Sum insured — The maximum amount an insurer will pay under a health or general insurance policy in a policy year.

Third Party Administrator (TPA) — An entity that processes health insurance claims on behalf of an insurer, often coordinating cashless hospitalisation.

Waiting period — A specified time after policy purchase during which certain claims (e.g., for pre-existing conditions) are not payable.

Macroeconomics and Policy

CPI (Consumer Price Index) — A measure of the average change in prices paid by consumers for a basket of goods and services, used as India's primary inflation gauge.

Current account deficit (CAD) — The extent to which a country's imports of goods, services and transfers exceed its exports.

Fiscal deficit — The gap between the government's total expenditure and its total revenue (excluding borrowings) in a year.

Fiscal policy — Government decisions on taxation and spending used to influence economic activity.

GDP (Gross Domestic Product) — The total monetary value of all goods and services produced within a country in a given period.

Monetary policy — Central bank actions, primarily interest rate decisions, aimed at managing inflation and supporting growth.

Repo-linked lending rate (RLLR) — A lending rate directly linked to the RBI's repo rate, making loan rates adjust more quickly to policy changes.

WPI (Wholesale Price Index) — A measure of average price changes at the wholesale/producer level, distinct from the consumer-facing CPI.

Yield curve — A graph plotting interest rates of bonds with equal credit quality but different maturities, used to gauge economic expectations.

Regulatory and Market Infrastructure

AIF (Alternative Investment Fund) — A privately pooled investment vehicle, such as a private equity or hedge fund, registered with SEBI under a separate regulatory framework.

Clearing corporation — An entity that guarantees the settlement of trades executed on an exchange, reducing counterparty risk.

Depository — An institution (NSDL or CDSL in India) that holds securities in electronic (dematerialised) form.

Depository Participant (DP) — An agent of a depository, typically a bank or broker, through which investors access depository services.

FPI (Foreign Portfolio Investor) — An overseas entity registered to invest in Indian securities markets, subject to SEBI regulation.

InvIT (Infrastructure Investment Trust) — A SEBI-regulated vehicle that allows investors to invest in income-generating infrastructure assets.

REIT (Real Estate Investment Trust) — A SEBI-regulated vehicle that allows investors to invest in income-generating real estate assets.

Research analyst (SEBI-registered) — A SEBI-registered professional authorised to publish research reports and recommendations on securities.

Stock exchange — A regulated marketplace where securities are listed and traded, such as the NSE or BSE.

Sub-broker/Authorised Person — An intermediary affiliated with a registered stockbroker who assists in client acquisition and servicing.

Part 8

Solved Numerical Problems — Formulas and Worked Examples

Solved Numerical Problems

This section collects worked numerical problems across the topics covered earlier in the guide, each with the relevant formula, step-by-step working, and the final answer. These are designed for self-study and exam-style practice — try solving each problem yourself before reading the worked solution.

8.1 Compounding and Time Value of Money

Problem 1: Simple compound growth

Given: ■1,00,000 invested for 10 years at an assumed constant annual return of 12%, compounded yearly.

Formula: $\text{Future Value} = \text{Principal} \times (1 + r)^n$

Working: $\text{FV} = 1,00,000 \times (1.12)^{10}$. $(1.12)^{10} \approx 3.106$. $\text{FV} \approx 1,00,000 \times 3.106$.

Answer: $\approx$ ■3,10,600

Problem 2: Doubling time using the Rule of 72

Given: An investment is expected to grow at a constant 8% per year. Estimate how long it takes to double.

Formula: $\text{Years to double} \approx 72 \div \text{annual return (\%)}$

Working: $72 \div 8 = 9$.

Answer: $\approx$ 9 years

Problem 3: Future value of a monthly SIP

Given: A SIP of ■5,000/month for 15 years (180 months), assuming a constant 12% annual return (1% per month), compounded monthly.

Formula: $\text{FV} = P \times [((1+i)^n - 1) / i] \times (1+i)$, where P = monthly instalment, i = monthly rate, n = number of months

Working: $P = 5,000$, $i = 0.01$, $n = 180$. $(1.01)^{180} \approx 5.996$. $\text{FV} \approx 5,000 \times [(5.996 - 1)/0.01] \times 1.01 \approx 5,000 \times 499.6 \times 1.01 \approx 5,000 \times 504.6$.

Answer: $\approx$ ■25,23,000 (total invested over the period was ■9,00,000, so roughly ■16,23,000 of this is growth)

Problem 4: Real (inflation-adjusted) return

Given: An investment earns a nominal 9% annual return in a year when inflation is 6%.

Formula: Approx. real return $\approx$ nominal return – inflation rate (a simplified approximation; the precise Fisher formula is $(1+\text{real}) = (1+\text{nominal})/(1+\text{inflation})$)

Working: Approximate: $9\% - 6\% = 3\%$. Precise: $(1.09/1.06) - 1 \approx 0.0283$.

Answer: $\approx 2.8\%$ – 3% real return

Problem 5: CAGR calculation

Given: An investment of ■50,000 grew to ■1,20,000 over 7 years.

Formula: $\text{CAGR} = (\text{Ending Value} / \text{Beginning Value})^{(1/n)} - 1$

Working: $\text{CAGR} = (1,20,000/50,000)^{(1/7)} - 1 = (2.4)^{(1/7)} - 1$. $(2.4)^{(1/7)} \approx 1.1316$.

Answer: $\approx 13.2\%$ CAGR

8.2 Fixed Deposits and Debt Instruments

Problem 6: FD maturity value (quarterly compounding)

Given: ■2,00,000 in a fixed deposit for 3 years at 7% per annum, compounded quarterly.

Formula: $\text{FV} = P \times (1 + r/4)^{(4 \times n)}$

Working: $\text{FV} = 2,00,000 \times (1 + 0.07/4)^{(12)} = 2,00,000 \times (1.0175)^{12}$. $(1.0175)^{12} \approx 1.2314$.

Answer: $\approx$ ■2,46,280

Problem 7: Recurring deposit maturity (approximate)

Given: ■3,000/month RD for 2 years (24 months) at 6.5% per annum, compounded quarterly (approximate method).

Formula: Approx. $\text{FV} \approx n \times P + P \times n \times (n+1)/2 \times (r/12)$, an approximation many RD calculators use, where P = monthly instalment, n = number of months, r = annual rate

Working: Total deposited = $3,000 \times 24 = 72,000$. Approximate interest $\approx 3,000 \times [24 \times 25/2] \times (0.065/12) \approx 3,000 \times 300 \times 0.00542 \approx 4,878$.

Answer: $\approx$ ■76,900 (exact figures vary slightly by bank's compounding method — always confirm with the bank's own RD calculator)

Problem 8: Bond price sensitivity to interest rates (conceptual)

Given: A bond pays a fixed 7% coupon. Market interest rates rise to 9% for newly issued, otherwise similar bonds.

Formula: Bond price moves inversely to yield; roughly, $\text{Price change \%} \approx -\text{Modified Duration} \times \text{Change in yield}$

Working: If modified duration is, say, 5 years, approximate price fall $\approx -5 \times 2\% = -10\%$.

Answer: The bond's market price would be expected to fall by roughly 10% (illustrative; the exact figure depends on duration and convexity)

8.3 Mutual Funds and NAV

Problem 9: Units allotted from a lump-sum investment

Given: ₹50,000 invested when the scheme's NAV is ₹62.50.

Formula: Units = Investment amount / NAV

Working: Units = 50,000 / 62.50 = 800.

Answer: 800 units

Problem 10: Rupee-cost averaging across a SIP

Given: ₹5,000 invested each month for 4 months at NAVs of ₹50, ₹45, ₹55, ₹48.

Formula: Total units = Σ (monthly amount / NAV each month); Average cost = Total invested / Total units

Working: Units: 5000/50=100, 5000/45≈111.1, 5000/55≈90.9, 5000/48≈104.2. Total units ≈ 406.2. Total invested = 20,000. Average cost = 20,000/406.2 ≈ 49.2.

Answer: Average purchase cost ≈ ₹49.2 per unit — lower than the simple average NAV of ₹49.5, illustrating rupee-cost averaging

Problem 11: Redemption value and simple gain

Given: 800 units bought at an average cost of ₹50 are redeemed when the NAV is ₹68.

Formula: Redemption value = Units × Redemption NAV; Gain = Redemption value – Investment cost

Working: Redemption value = 800 × 68 = 54,400. Investment cost = 800 × 50 = 40,000. Gain = 54,400 – 40,000.

Answer: Gain = ₹14,400 (before considering exit load or capital gains tax)

Problem 12: Impact of expense ratio over the long term

Given: ₹10,00,000 invested for 20 years, comparing a Direct plan at 12.0% net return versus a Regular plan at 11.0% net return (the 1% gap approximates a typical expense-ratio difference).

Formula: $FV = P \times (1+r)^n$ for each case

Working: Direct: $10,00,000 \times (1.12)^{20} \approx 10,00,000 \times 9.646 \approx 96,46,000$. Regular: $10,00,000 \times (1.11)^{20} \approx 10,00,000 \times 8.062 \approx 80,62,000$.

Answer: Difference ≈ ₹15,84,000 over 20 years — illustrating why even a 1% annual cost difference compounds into a large gap over long horizons

8.4 Equity and Fundamental Ratios

Problem 13: Price-to-Earnings (P/E) ratio

Given: A stock trades at ₹450. Its earnings per share (EPS) for the last year was ₹18.

Formula: $P/E = \text{Market Price per Share} / \text{EPS}$

Working: $P/E = 450 / 18 = 25$.

Answer: P/E ratio = 25

Problem 14: Return on Equity (ROE)

Given: A company's net profit for the year is ₹40 crore, and its average shareholders' equity is ₹200 crore.

Formula: $ROE = \text{Net Profit} / \text{Shareholders' Equity} \times 100$

Working: $ROE = (40 / 200) \times 100$.

Answer: ROE = 20%

Problem 15: Debt-to-Equity ratio

Given: A company has total debt of ₹150 crore and shareholders' equity of ₹100 crore.

Formula: $\text{Debt-to-Equity} = \text{Total Debt} / \text{Shareholders' Equity}$

Working: $D/E = 150 / 100$.

Answer: $D/E = 1.5$ (i.e., ₹1.50 of debt for every ₹1 of equity)

Problem 16: Dividend yield

Given: A stock trades at ₹800 and has paid a total annual dividend of ₹16 per share.

Formula: $\text{Dividend Yield} = (\text{Annual Dividend per Share} / \text{Market Price per Share}) \times 100$

Working: $\text{Yield} = (16/800) \times 100$.

Answer: Dividend yield = 2%

Problem 17: Earnings Per Share (EPS)

Given: A company's net profit is ₹80 crore, and it has 4 crore outstanding shares.

Formula: $EPS = \text{Net Profit} / \text{Number of Outstanding Shares}$

Working: $EPS = 80 \text{ crore} / 4 \text{ crore}$.

Answer: EPS = ₹20 per share

8.5 Taxation

Problem 18: LTCG-style calculation on equity mutual funds (illustrative structure)

Given: An investor redeems equity mutual fund units held for 2 years with a total gain of ₹1,50,000, in a year with no other long-term equity gains, and assume (illustratively) a tax-exempt threshold of ₹1,00,000 and a flat rate on the excess.

Formula: Taxable LTCG = Total gain – Exempt threshold; Tax = Taxable LTCG × applicable rate

Working: Taxable gain = 1,50,000 – 1,00,000 = 50,000. (Always use the current threshold and rate in effect, as these are revised periodically — this problem illustrates the calculation structure only.)

Answer: Illustrative structure only — apply the current LTCG threshold and rate from the Income Tax Department's official guidance for an actual computation

Problem 19: TDS on fixed deposit interest (illustrative structure)

Given: An FD earns ₹52,000 interest in a financial year, and assume (illustratively) TDS applies above a ₹40,000 threshold at a flat rate.

Formula: TDS-applicable interest = Total interest – Threshold; TDS deducted = TDS-applicable interest × rate (illustrative structure; some banks deduct TDS on the full interest once the threshold is crossed — check current bank/CBDT rules)

Working: This is a structural illustration — always confirm the current TDS threshold, rate, and computation method with your bank and the Income Tax Department, since these are revised periodically.

Answer: Illustrative structure only — verify current thresholds before relying on any number

8.6 Insurance and Retirement

Problem 20: Estimating term insurance cover using the income-replacement method

Given: An individual earns ₹9,00,000/year and has an outstanding home loan of ₹30,00,000. Using a rule-of-thumb multiple of 12 times annual income for income replacement.

Formula: Suggested cover ≈ (Annual income × multiple) + Outstanding liabilities

Working: Suggested cover ≈ (9,00,000 × 12) + 30,00,000 = 1,08,00,000 + 30,00,000.

Answer: ≈ ₹1.38 crore (illustrative rule of thumb; actual needs vary by dependents, existing assets, and goals)

Problem 21: Retirement corpus estimate using a withdrawal-rate approach

Given: An individual estimates annual retirement expenses (in today's terms, adjusted for future inflation) at ₹6,00,000/year, and plans around an illustrative 4% sustainable annual withdrawal

rate.

Formula: Required corpus $\approx$ Annual expense / Withdrawal rate

Working: Required corpus $\approx$ 6,00,000 / 0.04.

Answer: $\approx$ ₹1.5 crore (in the currency terms used for the expense estimate; the 4% figure is an illustrative starting point, not a guarantee, and should be adjusted for individual circumstances)

Problem 22: EPF-style compounding illustration

Given: ₹3,000/month contribution (combined employee + employer, for illustration) for 30 years, assuming a constant 8% annual rate compounded monthly for simplicity.

Formula: Same annuity future-value formula as Problem 3: $FV = P \times [((1+i)^n - 1)/i] \times (1+i)$

Working: $P = 3,000$, $i \approx 0.08/12 \approx 0.00667$, $n = 360$. $(1.00667)^{360} \approx 10.94$. $FV \approx 3,000 \times [(10.94-1)/0.00667] \times 1.00667 \approx 3,000 \times 1,490 \times 1.00667$.

Answer: $\approx$ ₹45,00,000 (illustrative; actual EPF interest is declared annually and compounding conventions differ slightly, but the order of magnitude and the power of long-horizon compounding hold)

8.7 Portfolio and Risk

Problem 23: Simple two-asset portfolio return

Given: A portfolio has 60% in equity (annual return 14%) and 40% in debt (annual return 7%).

Formula: Portfolio return = (Weight_{Equity} $\times$ Return_{Equity}) + (Weight_{Debt} $\times$ Return_{Debt})

Working: Return = $(0.6 \times 14\%) + (0.4 \times 7\%) = 8.4\% + 2.8\%$.

Answer: Portfolio return = 11.2%

Problem 24: Rebalancing back to target allocation

Given: A portfolio started at 60% equity / 40% debt on a ₹10,00,000 base. After a strong year, equity has grown to ₹7,50,000 while debt has grown to ₹4,20,000 (total ₹11,70,000), shifting the mix to roughly 64%/36%.

Formula: Amount to sell/buy = Current value of asset – (Target weight $\times$ New total portfolio value)

Working: Target equity value = $0.60 \times 11,70,000 = 7,02,000$. Current equity value = 7,50,000. Excess to sell = $7,50,000 - 7,02,000 = 48,000$, redirected into debt.

Answer: Sell $\approx$ ₹48,000 worth of equity and add it to debt to restore the original 60/40 target

Problem 25: Emergency fund target

Given: Monthly essential expenses are ₹35,000. The goal is a 6-month emergency fund.

Formula: Emergency fund target = Monthly essential expenses $\times$ Number of months

Working: Target = $35,000 \times 6$.

Answer: $\approx$ ■2,10,000

How to use this section for revision

Cover the "Working" and "Answer" fields and attempt each problem independently first, using only the "Given" statement and "Formula." This mirrors how numerical questions are typically structured in coursework and exams on financial mathematics and investment analysis.

Part 9

Practice Question Bank — Multiple Choice Questions

Practice Question Bank (MCQs)

This section contains multiple-choice questions grouped by topic, mirroring the structure of the guide, for self-testing and exam preparation. Attempt each set before checking the answer key at the end of the section.

Money, Saving and Risk Basics

1. The recommended size of an emergency fund is typically:

- (A) 1 month of expenses (B) 3-6 months of expenses (C) 1 year of expenses (D) No fixed amount needed

2. Inflation primarily erodes:

- (A) The number of units held (B) The purchasing power of money (C) The face value of a bond (D) The nominal interest rate

3. The 50-30-20 rule allocates income towards:

- (A) Needs, wants, savings (B) Debt, equity, gold (C) Tax, insurance, SIP (D) Rent, food, travel

4. Compounding refers to earning returns on:

- (A) Only the original principal (B) Principal plus previously earned returns (C) Only dividends received (D) Only capital gains

5. Which risk refers to being unable to sell an asset quickly at a fair price?

- (A) Credit risk (B) Market risk (C) Liquidity risk (D) Inflation risk

6. A product promising a fixed, unusually high, guaranteed return with 'no risk' should be treated as:

- (A) A safe bet (B) A red flag (C) A tax-free option (D) A government scheme

7. Which of the following best describes a risk profile?

- (A) A fixed government form (B) An assessment of financial and psychological risk tolerance (C) A type of mutual fund (D) A bank account category

8. Standard deviation, in a fund's context, measures:

- (A) Average return (B) Expense ratio (C) Historical volatility of returns (D) Fund size

9. Over rolling long periods, equity investments have historically shown:

- (A) Guaranteed positive returns every year (B) A generally lower probability of loss than over any single year (C) No relationship to time horizon (D) Identical risk to fixed deposits

India's Financial Regulators

1. Which body regulates India's securities market?

(A) RBI (B) SEBI (C) AMFI (D) IRDAI

2. Which body is the central bank of India?

(A) SEBI (B) NSE (C) RBI (D) AMFI

3. AMFI primarily serves as:

(A) A government tax authority (B) The mutual fund industry's standards and awareness body
(C) A stock exchange (D) An insurance regulator

4. The RBI's Monetary Policy Committee primarily sets the:

(A) Corporate tax rate (B) Repo rate (C) SEBI registration fee (D) GST rate

5. SCORES is:

(A) A credit scoring system (B) SEBI's investor complaint redressal portal (C) A stock index
(D) A mutual fund category

6. DICGC insures:

(A) Mutual fund NAV (B) Bank deposits up to a specified limit (C) Stock market losses (D)
Insurance premiums

7. The ARN number is associated with:

(A) Stockbrokers (B) Mutual fund distributors (C) Insurance agents (D) Tax consultants

8. RBI Retail Direct allows individuals to:

(A) Buy IPO shares directly (B) Buy government securities directly without a broker (C) Open
a mutual fund account (D) File income tax returns

9. Which regulator oversees insurance companies in India?

(A) SEBI (B) RBI (C) IRDAI (D) AMFI

10. Depositories in India (NSDL and CDSL) are regulated by:

(A) RBI (B) SEBI (C) AMFI (D) IRDAI

Banking Products

1. Which account type offers the highest liquidity?

(A) Fixed deposit (B) Recurring deposit (C) Savings account (D) PPF account

2. A fixed deposit typically offers an interest rate that is:

(A) Lower than savings (B) Higher than savings (C) Identical to savings (D) Negative

3. Premature withdrawal from a fixed deposit usually attracts:

(A) A bonus (B) A penalty (C) No consequence (D) Additional tax exemption

4. DICGC deposit insurance applies:

(A) Per bank branch (B) Per depositor per bank (C) Per account number only (D) Only to fixed deposits

5. A sweep-in facility automatically:

(A) Converts a loan to a deposit (B) Moves excess savings balance into a linked FD (C) Cancels a mutual fund SIP (D) Pays insurance premiums

6. UPI, IMPS, NEFT and RTGS are all regulated by:

(A) SEBI (B) RBI (C) AMFI (D) IRDAI

7. A Recurring Deposit is best suited for:

(A) A one-time lump sum (B) Regular monthly saving discipline (C) High-risk equity exposure (D) Short-term day trading

Stock Market Basics

1. A share represents:

(A) A loan to the government (B) A unit of ownership in a company (C) A fixed deposit certificate (D) An insurance policy

2. The two main stock exchanges in India are:

(A) NSE and BSE (B) SEBI and RBI (C) NSDL and CDSL (D) AMFI and IRDAI

3. The Nifty 50 is associated with which exchange?

(A) BSE (B) NSE (C) MCX (D) NCDEX

4. A demat account is used to:

(A) Hold securities electronically (B) Pay insurance premiums (C) File tax returns (D) Apply for a home loan

5. An order that executes only at a specified price or better is called a:

(A) Market order (B) Limit order (C) Stop-loss order (D) Bracket order

6. India's equity market currently follows a settlement cycle of:

(A) T+5 (B) T+3 (C) T+1 (D) T+7

7. Large-cap companies are generally considered:

(A) The smallest listed companies (B) Relatively more stable, established businesses (C) Always loss-making (D) Unlisted entities

8. A bonus issue involves:

(A) A cash payout to shareholders (B) Free additional shares issued in a fixed ratio (C) A reduction in share price only (D) A new IPO

Mutual Funds

1. NAV stands for:

(A) Net Annual Value (B) Net Asset Value (C) New Account Verification (D) National Average Valuation

2. A SIP allows an investor to:

(A) Invest a fixed amount at regular intervals (B) Only invest a lump sum once (C) Avoid all mutual fund fees (D) Bypass KYC requirements

3. Rupee-cost averaging tends to work in an investor's favour because:

(A) Markets never fall (B) More units are bought when prices are low (C) NAV never changes (D) Exit loads are waived

4. A Direct plan differs from a Regular plan mainly in:

(A) Fund manager identity (B) Distributor commission built into the expense ratio (C) Underlying securities held (D) Tax treatment

5. The riskometer on a mutual fund scheme is mandated by:

(A) AMFI (B) SEBI (C) RBI (D) IRDAI

6. An equity fund is generally most appropriate for a time horizon of:

(A) Less than 6 months (B) 5+ years (C) 1 day (D) 1 week

7. An exit load is charged when:

(A) Units are redeemed before a specified holding period (B) A SIP is started (C) KYC is completed (D) A fund's NAV rises

8. Liquid funds are best suited for:

(A) Very short-term parking of funds (B) 20-year retirement goals (C) High-risk speculation (D) Direct stock trading

9. AMFI publishes, among other things:

(A) Daily NAVs across the industry (B) Income tax slabs (C) RBI repo rate decisions (D) IPO allotment results

10. An index fund aims to:

(A) Beat its benchmark aggressively (B) Replicate the performance of a specific index (C) Invest only in government bonds (D) Guarantee fixed returns

Bonds and Small Savings

1. Bond prices generally move in relation to interest rates as follows:

(A) Same direction as rates (B) Inversely to rates (C) Unrelated to rates (D) Only during IPOs

2. Government securities are generally considered:

(A) The riskiest asset class (B) Among the safest rupee-denominated instruments (C) Illiquid and unregulated (D) Only available to foreign investors

3. PPF has a standard lock-in period of:

- (A) 5 years (B) 10 years (C) 15 years (D) 20 years

4. Sovereign Gold Bonds are denominated in:

- (A) Rupees only (B) US Dollars (C) Grams of gold (D) Ounces of silver

5. A corporate bond's credit rating primarily reflects:

- (A) Its trading volume (B) The issuer's perceived ability to repay (C) Its face value (D) Its listing exchange

6. RBI Retail Direct primarily allows individuals to invest in:

- (A) Mutual funds (B) Government securities and Treasury Bills (C) IPO shares (D) Insurance policies

Insurance

1. Term insurance primarily provides:

- (A) Investment returns with guaranteed maturity value (B) Pure life cover with no maturity payout if the policyholder survives (C) Health cover only (D) Vehicle protection

2. Combining insurance and investment in a single product is generally considered:

- (A) The most cost-efficient approach (B) Less efficient than buying pure term and pure investment products separately (C) Mandatory under SEBI rules (D) Illegal in India

3. IRDAI regulates:

- (A) Mutual funds (B) The insurance sector (C) The stock exchanges (D) Banks

4. A rider in an insurance policy is:

- (A) A mandatory government tax (B) An add-on benefit for additional premium (C) A type of mutual fund (D) A stockbroker's commission

5. The free-look period allows a policyholder to:

- (A) Change nominees only (B) Cancel the policy shortly after purchase for a refund if unsatisfied (C) Skip premium payments indefinitely (D) Avoid all future premiums

IPOs and Derivatives

1. An IPO refers to:

- (A) A company's first sale of shares to the public (B) A stock buyback (C) A dividend payout (D) A bond redemption

2. ASBA in the context of IPOs refers to:

- (A) A type of mutual fund (B) A process where application money is blocked, not debited, until allotment (C) A tax exemption scheme (D) A stock exchange index

3. SEBI's role in an IPO is primarily to:

- (A) Guarantee the company will be profitable (B) Ensure required disclosures are made (C) Set the IPO price directly (D) Buy unsold shares

4. A futures contract obligates the parties to:

- (A) An optional trade at a future date (B) Buy or sell an asset at a set price on a future date (C) Only receive dividends (D) Avoid all market risk

5. Leverage in derivatives trading means:

- (A) Losses and gains are always smaller than in cash equities (B) Controlling a large position with a relatively small margin, magnifying gains and losses (C) No margin is required (D) Only institutions can trade

6. SEBI data has shown that in the F&O; segment, a large majority of individual traders:

- (A) Consistently profit (B) Tend to lose money over time (C) Are exempt from all risk (D) Receive guaranteed returns

Fundamental and Technical Analysis

1. Fundamental analysis primarily studies:

- (A) Historical price charts only (B) A company's business and financial statements to estimate true value (C) Only trading volume (D) Only technical indicators

2. The Price-to-Earnings (P/E) ratio is calculated as:

- (A) EPS divided by Market Price (B) Market Price divided by EPS (C) Net Profit divided by Revenue (D) Debt divided by Equity

3. Return on Equity (ROE) measures:

- (A) A company's stock price volatility (B) How efficiently a company generates profit from shareholders' capital (C) The company's dividend yield only (D) The exchange listing fee

4. Technical analysis primarily relies on:

- (A) Company balance sheets (B) Historical price and volume patterns (C) Government tax filings (D) Insurance claim ratios

5. A 'support' level in technical analysis refers to:

- (A) A price level where a stock has tended to stop falling (B) A government subsidy (C) A fixed deposit rate (D) An insurance premium

6. A moving average is used to:

- (A) Guarantee future prices (B) Smooth out short-term price noise and indicate trend direction (C) Calculate dividend yield (D) Set IPO prices

Portfolio and Asset Allocation

1. Asset allocation refers to:

(A) Choosing a single best stock (B) The split of a portfolio across broad asset classes (C) A type of insurance rider (D) A tax deduction

2. Diversification primarily aims to:

(A) Guarantee profits (B) Reduce the impact of any single asset's poor performance (C) Eliminate all risk entirely (D) Avoid all taxation

3. Rebalancing a portfolio means:

(A) Selling everything and starting over (B) Adjusting the portfolio back to its intended target allocation (C) Ignoring the portfolio for a decade (D) Changing brokers

4. Low or negative correlation between two assets suggests:

(A) They typically move in the same direction, offering little diversification benefit (B) They may offer a stronger diversification benefit when combined (C) They cannot be held in the same portfolio (D) They are always the same asset class

5. A common rule-of-thumb heuristic for equity allocation is:

(A) Always 100% equity regardless of age (B) Roughly '100 minus your age' as a percentage in equity (C) Zero equity after age 25 (D) Equity allocation is irrelevant to age

Taxation, Frauds and Retirement

1. Capital gains tax treatment typically differs based on:

(A) The investor's favourite colour (B) The holding period of the asset (short-term vs long-term) (C) The day of the week the asset was sold (D) The investor's blood type

2. TDS stands for:

(A) Total Deposit Scheme (B) Tax Deducted at Source (C) Trading Data System (D) Term Deposit Scheme

3. A scheme promising guaranteed, fixed, unusually high returns with no risk is most likely:

(A) A government bond (B) A potential fraud or Ponzi-style scheme (C) A standard bank FD (D) A SEBI-mandated product

4. Before trusting an 'investment adviser,' an investor should:

(A) Assume they are automatically genuine (B) Verify their SEBI registration (C) Only check their social media followers (D) Ignore all documentation

5. EPF is primarily meant for:

(A) Self-employed individuals only (B) Salaried employees in eligible organisations (C) Foreign investors only (D) Students under 18

6. NPS contributions are invested in a mix of:

(A) Only real estate (B) Equity, corporate bonds and government securities (C) Only gold (D) Only foreign currency

7. SCORES can be used to file complaints against:

(A) Only foreign companies (B) SEBI-registered intermediaries and listed companies (C) Only insurance companies (D) Only banks

Answer Key

Answers are listed in the same order as each topic section above.

Money, Saving and Risk Basics: 1-B, 2-B, 3-A, 4-B, 5-C, 6-B, 7-B, 8-C, 9-B

India's Financial Regulators: 1-B, 2-C, 3-B, 4-B, 5-B, 6-B, 7-B, 8-B, 9-C, 10-B

Banking Products: 1-C, 2-B, 3-B, 4-B, 5-B, 6-B, 7-B

Stock Market Basics: 1-B, 2-A, 3-B, 4-A, 5-B, 6-C, 7-B, 8-B

Mutual Funds: 1-B, 2-A, 3-B, 4-B, 5-B, 6-B, 7-A, 8-A, 9-A, 10-B

Bonds and Small Savings: 1-B, 2-B, 3-C, 4-C, 5-B, 6-B

Insurance: 1-B, 2-B, 3-B, 4-B, 5-B

IPOs and Derivatives: 1-A, 2-B, 3-B, 4-B, 5-B, 6-B

Fundamental and Technical Analysis: 1-B, 2-B, 3-B, 4-B, 5-A, 6-B

Portfolio and Asset Allocation: 1-B, 2-B, 3-B, 4-B, 5-B

Taxation, Frauds and Retirement: 1-B, 2-B, 3-B, 4-B, 5-B, 6-B, 7-B

Part 10

Extended Topics — Going Further

Macroeconomics for Investors

10.1 Why macroeconomics matters to an individual investor

Markets do not move in a vacuum — company earnings, interest rates and investor sentiment are all shaped by the broader economy. An investor does not need to become an economist, but understanding a handful of commonly quoted indicators helps make sense of financial news and policy announcements that otherwise seem disconnected from personal investing decisions.

10.2 GDP growth

Gross Domestic Product (GDP) measures the total value of goods and services produced in an economy over a period. Faster GDP growth is generally, though not always, associated with stronger corporate earnings growth and a more supportive backdrop for equities, while slowing growth can weigh on both consumer spending and company profitability.

10.3 Inflation indicators: CPI and WPI

The Consumer Price Index (CPI) tracks price changes faced by consumers and is India's primary inflation gauge used by the RBI for policy decisions, while the Wholesale Price Index (WPI) tracks price changes at the producer/wholesale level. The two can diverge, for instance when fuel or commodity costs move sharply at the wholesale level before fully passing through to consumer prices.

10.4 Fiscal policy and the fiscal deficit

Fiscal policy refers to government decisions on taxation and spending. The fiscal deficit — the gap between government spending and revenue — is watched closely because a persistently high deficit can pressure interest rates and the currency, while disciplined fiscal management tends to support macroeconomic stability. India's annual Union Budget is the key event where fiscal policy priorities, and often tax-related changes relevant to investors, are announced.

10.5 The currency and current account

The rupee's exchange rate against currencies like the US Dollar affects import costs (including crude oil, a major import), the competitiveness of exporters, and returns for anyone invested in foreign assets. The current account deficit — broadly, the gap between what India pays for imports and services versus what it earns from exports — is one factor influencing currency movements over time, alongside capital flows, interest-rate differentials and global risk sentiment.

10.6 Putting it together: reading a macro headline

When a news headline reports "RBI holds repo rate amid sticky inflation," a reader equipped with this chapter's vocabulary can parse it as: the central bank chose not to change borrowing costs because consumer price inflation (CPI) remains above its comfort level, which has implications for FD/loan rates and, indirectly, for equity and bond markets. Building this kind of literacy, gradually, is far more useful than trying to predict markets from any single data point.

Beginner take-away

You don't need to trade on macroeconomic news. The goal is comprehension — being able to understand why financial markets react the way they do to policy and economic data, so that headlines inform your long-term plan rather than trigger impulsive, short-term decisions.

Real Estate as an Asset Class

11.1 Real estate versus financial assets

Real estate — residential or commercial property — is a common asset class in Indian household wealth, but it differs meaningfully from financial assets like mutual funds or bonds: it is illiquid (can take months to sell), requires a large lump sum or long-term loan, involves ongoing costs (maintenance, property tax, repairs), and cannot be easily diversified (a single property is a single, large, concentrated bet on one location and property type).

11.2 Own-use versus investment property

A home bought for own use serves a lifestyle and stability purpose beyond pure financial return, and is generally evaluated differently from a property bought purely as a rental or resale investment. When evaluating property purely as an investment, rental yield (annual rent as a percentage of property value) and expected price appreciation both matter — Indian residential rental yields have historically been modest (commonly in the low single digits), meaning much of the historical return from residential property has depended on price appreciation, which varies significantly by location and cycle.

11.3 REITs as a more liquid alternative

As introduced in Chapter 13, a Real Estate Investment Trust (REIT) allows an investor to gain exposure to income-generating commercial real estate (such as office parks) through a listed, exchange-traded instrument, without the large capital outlay, illiquidity and management burden of owning physical property directly. REITs distribute a large portion of their rental income to unit-holders periodically, regulated under a SEBI framework designed specifically for this structure.

Feature	Direct physical property	REIT
Minimum investment	Very high (often lakhs to crores)	Relatively low, exchange-traded unit price
Liquidity	Low — can take months to sell	High — traded daily on the exchange
Diversification	Typically one property, one location	Portfolio of multiple properties
Management effort	Tenant management, repairs, legal work	Professionally managed
Income distribution	Rental income, if any, managed by owner	Regular distributions mandated by SEBI framework

Global Investing Basics

12.1 Why consider investing outside India

Global diversification spreads exposure across economies, currencies and companies that may not all move in sync with the Indian market, and gives access to businesses and sectors that may be under-represented domestically. It also introduces currency risk — returns are affected by movements in the rupee against the foreign currency, in addition to the performance of the underlying investment itself.

12.2 Common routes for Indian investors

- **International mutual funds/ETFs (feeder funds)** — Indian-domiciled mutual funds that invest in a foreign index or fund, offering global exposure without opening an overseas account.
- **Direct overseas investing via the Liberalised Remittance Scheme (LRS)** — the RBI's framework under which resident individuals can remit funds abroad, subject to an annual limit, to open a foreign brokerage account and buy foreign stocks/ETFs directly.
- **Global index funds domiciled in India** — passively tracking a foreign index such as the S&P; 500 or Nasdaq 100, purchased and redeemed like any other Indian mutual fund.

12.3 Risks and considerations specific to global investing

Beyond the usual market and currency risk, global investing involves different tax treatment (foreign investments are typically taxed differently from Indian equity under current law), potential geopolitical and regulatory risk, and generally less familiarity for an investor with foreign companies, accounting standards and market structures. As with any unfamiliar asset class, it deserves proportionate research and typically a smaller allocation within an overall portfolio rather than a wholesale shift away from domestic investments.

Intermediate/Advanced upgrade

If exploring global investing, start with a small allocation through a well-established, low-cost index fund or ETF tracking a broad global or US index, rather than picking individual foreign stocks without first building familiarity with foreign disclosure norms and tax treatment.

Understanding Financial Statements: A Worked Company Example

13.1 A simplified illustrative company

To bring Chapter 14's discussion of financial statements to life, consider a simplified, entirely hypothetical company, 'Sample Manufacturing Ltd,' with the following illustrative figures for a single year.

Income statement item	Amount (₹ crore)
Revenue	500
Operating expenses	380
Operating profit (EBIT)	120
Interest expense	20
Profit before tax	100
Tax (illustrative 25%)	25
Net profit	75

Balance sheet item	Amount (₹ crore)
Total assets	600
Total debt	150
Shareholders' equity	300
Other liabilities	150

13.2 Deriving key ratios from these statements

Using the figures above: Debt-to-Equity = $150/300 = 0.5$. If the company has 10 crore outstanding shares, EPS = $75 \text{ crore} / 10 \text{ crore} = ₹7.50$ per share. If the stock trades at ₹150, P/E = $150/7.50 = 20$. ROE = Net profit / Shareholders' equity = $75/300 = 25\%$. Interest coverage ratio (a measure of how comfortably a company can service its debt) = $\text{EBIT} / \text{Interest expense} = 120/20 = 6$, generally considered a comfortable cushion.

13.3 What a reader would look for next

Having computed these ratios for a single year, the natural next step in real analysis is to compare them against the same company's figures from prior years (is the ROE improving or declining?), against close industry peers (is a P/E of 20 cheap or expensive for this sector?), and against the qualitative business narrative in the annual report (why did revenue grow or shrink, and is that trend likely to continue?). A single year's ratios, in isolation, tell only part of the story.

Behavioural Finance: Understanding Investor Psychology

14.1 Why rational models alone don't explain investor behaviour

Classical finance theory often assumes investors act rationally, weighing risk and return objectively. In practice, a well-documented field called behavioural finance shows that real investors are subject to predictable psychological biases that frequently lead to sub-optimal decisions — understanding these biases is often more useful in practice than understanding another financial ratio.

14.2 Common biases affecting investors

- **Loss aversion** — the tendency to feel the pain of a loss more intensely than the pleasure of an equivalent gain, which can lead to holding losing investments too long (hoping to 'break even') while selling winners too early.
- **Anchoring** — fixating on a reference point, such as a stock's purchase price or all-time high, when judging whether its current price is 'cheap' or 'expensive,' even though that reference point may be irrelevant to its actual value today.
- **Confirmation bias** — seeking out information that supports an existing belief about an investment while ignoring evidence that contradicts it.
- **Recency bias** — over-weighting recent events (a recent market rally or crash) when forming expectations about the future, rather than considering a longer historical range of outcomes.
- **Overconfidence** — overestimating one's own ability to pick winning stocks or time the market, often leading to excessive trading and higher costs.
- **Herding** — following the crowd into or out of an investment, driven by social proof rather than independent analysis.

14.3 Practical ways to counter these biases

- Write down your investment thesis and target holding period before buying, so future decisions can be checked against your own original reasoning rather than shifting justifications.
- Automate contributions (via SIP/standing instructions) so that saving and investing decisions don't depend on daily willpower or market mood.
- Set a fixed schedule for reviewing your portfolio (e.g., quarterly) rather than checking prices daily, which tends to amplify emotional reactions to short-term noise.
- Use a written checklist (such as the one in Chapter 18) before any unfamiliar or large investment decision, rather than relying purely on gut feeling in the moment.

Beginner take-away

Knowing about these biases in advance doesn't make you immune to them — but it does make it easier to recognise the pattern in the moment ('am I holding this losing stock because of a sound thesis, or because I don't want to admit a loss?') and correct course.

A Brief History of Indian Securities Market Regulation

15.1 Before SEBI

Prior to the early 1990s, India's stock markets were largely self-regulated by individual exchanges under a much older, general law (the Securities Contracts Regulation Act, 1956), with relatively limited investor-protection infrastructure compared to today. A major stock market scam in the early 1990s exposed significant gaps in oversight and accelerated the push for a dedicated, empowered securities regulator.

15.2 The creation and empowerment of SEBI

SEBI was originally set up in 1988 in a non-statutory capacity and was given full statutory powers under the SEBI Act, 1992, following the scandal referenced above. Over the following decades, SEBI progressively introduced electronic trading, dematerialised (paperless) share holding through depositories, standardised disclosure norms for listed companies and mutual funds, and a formal registration and conduct framework for market intermediaries.

15.3 Key modernisation milestones investors should know about

- Introduction of electronic, screen-based trading, replacing older open-outcry trading floors.
- Dematerialisation of shares through NSDL (1996) and later CDSL, eliminating most physical share-certificate risk (loss, forgery, transfer delays).
- Progressive shortening of the settlement cycle, most recently to T+1 for most equity trades.
- Introduction of mandatory riskometers, standardised mutual fund categorisation, and simplified KYC processes over the 2010s and 2020s.
- Growth of digital onboarding (Aadhaar-based e-KYC, UPI-based payments for IPO applications and mutual fund purchases), which has significantly lowered the friction of starting to invest compared to a generation ago.

15.4 Why this history matters to a new investor

Understanding that today's investor protections — dematerialised holdings, mandatory disclosures, grievance portals, standardised risk labelling — are relatively recent, hard-won responses to real historical failures helps explain why they exist and why using them (verifying registrations, reading disclosures, filing complaints when warranted) is not an optional extra step, but the core of how the modern market is designed to protect participants.

Credit Scores and Borrowing Basics

16.1 What a credit score is

A credit score, commonly ranging from 300 to 900 in India and provided by credit information companies such as CIBIL, Experian, Equifax and CRIF High Mark, summarises an individual's credit history and repayment behaviour into a single number used by lenders to assess loan and credit card applications. A higher score generally indicates lower perceived credit risk and can translate into easier loan approval and more favourable interest rates.

16.2 What affects a credit score

- Repayment history — timely payment of credit card bills and loan EMIs is typically the single largest factor.
- Credit utilisation — the proportion of available credit card limit actually being used; consistently maxing out cards can lower a score.
- Length and mix of credit history — a longer track record and a healthy mix of credit types (e.g., a mix of secured and unsecured credit) can help.
- Frequency of new credit applications — many loan/card applications in a short period can be viewed as a risk signal.

16.3 Why this matters for an investor, not just a borrower

A strong credit score affects the terms on which an individual can borrow for major goals — a home loan, for instance — and interest saved through a better rate over a long loan tenure can be substantial, arguably comparable in impact to investment returns over the same period. Investors should treat credit health as part of overall financial planning, not a separate topic.

16.4 Good borrowing habits

- Borrow for appreciating or income-generating purposes (education, a reasonably priced home) more readily than for depreciating consumption (an expensive gadget on high-interest EMI).
- Avoid carrying a running balance on credit cards, since card interest rates are typically far higher than most investment return assumptions in this guide.
- Check your credit report periodically (individuals are entitled to a free credit report from bureaus periodically) to catch errors or signs of identity fraud early.

Estate Planning Basics: Nomination and Wills

17.1 Why estate planning matters, even for a young investor

Estate planning is often associated with the wealthy or the elderly, but the basic steps — nominating beneficiaries and, eventually, drafting a will — matter for anyone holding financial assets, since they determine how smoothly those assets pass to intended beneficiaries and can prevent lengthy, stressful legal processes for a family during an already difficult time.

17.2 Nomination

Nomination is a simple, low-cost first step available on nearly every financial product — bank accounts, demat accounts, mutual fund folios, insurance policies and retirement accounts. A nominee is legally authorised to receive the asset on the holder's death, though a nomination does not necessarily override a valid will's instructions on final ownership; it primarily simplifies the immediate release of assets by the institution holding them.

17.3 Wills

A will is a legal document specifying how a person's assets should be distributed after death. In India, a simple will does not necessarily require a lawyer to be valid, though professional guidance is often worthwhile for anyone with a complex asset base, multiple properties, or a blended family situation. A will should ideally be updated periodically to reflect life changes (marriage, children, new assets).

17.4 A basic checklist

- Ensure every bank account, demat account, mutual fund folio and insurance policy has an up-to-date nominee.
- Keep a simple, accessible record (for yourself and, eventually, your family) of what accounts, policies and investments exist and where.
- Consider drafting a basic will once you have meaningful assets or dependents, and revisit it after major life events.
- Communicate the existence and location of key documents to a trusted family member, without necessarily sharing sensitive login credentials.

Beginner take-away

Nomination takes minutes to set up on each account and costs nothing — it is one of the highest-value, lowest-effort steps in this entire guide, and there is rarely a good reason to leave it incomplete.

Building a Personal Financial Plan: A Worksheet Approach

18.1 Step 1 — Net worth snapshot

List everything you own (assets: bank balances, investments, property, retirement accounts) and everything you owe (liabilities: loans, credit card dues). Assets minus liabilities gives your net worth — a single number worth tracking over time, more useful as a trend than as an isolated figure.

18.2 Step 2 — Cash flow snapshot

List monthly income against monthly expenses, broken into essential and discretionary categories as discussed in Chapter 2, to identify your realistic monthly investable surplus.

18.3 Step 3 — Goal list with time horizons

List every financial goal (emergency fund, a trip, a home down payment, children's education, retirement) along with a rough time horizon and today's estimated cost, referencing the goal-horizon framework from Chapter 2.

18.4 Step 4 — Insurance check

Confirm adequate term life cover (if there are dependents) and health insurance are in place before allocating surplus towards growth investments, per Chapter 11.

18.5 Step 5 — Asset allocation and product selection

Using the goal list and your risk profile (Chapter 3), assign each goal to an appropriate mix of products from Part 3 of this guide, and decide a monthly SIP/contribution plan across them.

18.6 Step 6 — Review cadence

Set a fixed date (e.g., every 1st of April, aligned with the new financial year) to revisit net worth, cash flow, goals and asset allocation together, rebalancing as described in Chapter 16.

A note on using this worksheet

This six-step structure is meant to be revisited, not completed once and forgotten. Treat it as a living document that evolves as income, goals and life circumstances change over time.

Part 11

Extended Practice — More MCQs and Long-Answer Questions

Additional MCQs: Extended Topics

Macroeconomics for Investors

1. GDP measures:

- (A) A company's profit (B) The total value of goods and services produced in an economy (C) A bank's deposit base (D) A stock's dividend yield

2. India's primary inflation gauge used for RBI policy is:

- (A) WPI (B) CPI (C) P/E ratio (D) NAV

3. The fiscal deficit refers to:

- (A) The gap between government spending and revenue (B) A company's debt-to-equity ratio
(C) A bank's NPA ratio (D) A mutual fund's expense ratio

4. A rising current account deficit can put pressure on:

- (A) The company's EPS (B) The currency's exchange rate (C) A mutual fund's NAV directly
(D) Bank KYC norms

5. When the RBI raises the repo rate, borrowing costs in the economy typically:

- (A) Fall (B) Rise (C) Stay exactly the same always (D) Become irrelevant

Real Estate and Global Investing

1. Compared to REITs, direct physical property is generally:

- (A) More liquid (B) Less liquid (C) Identical in liquidity (D) Not a real asset class

2. A REIT primarily allows investors to gain exposure to:

- (A) Government bonds (B) Income-generating real estate (C) Foreign currencies (D) Insurance policies

3. The Liberalised Remittance Scheme (LRS) is administered by:

- (A) SEBI (B) RBI (C) AMFI (D) IRDAI

4. Investing in a foreign index fund domiciled in India involves:

- (A) No currency risk at all (B) Currency risk from rupee-foreign currency movements (C) Guaranteed higher returns than Indian equity (D) Direct ownership of foreign real estate

5. Global diversification is primarily sought to:

- (A) Eliminate all investment risk (B) Reduce dependence on any single economy's performance
(C) Avoid Indian taxation entirely (D) Guarantee currency gains

Behavioural Finance

1. Loss aversion describes the tendency to:

- (A) Feel gains more intensely than losses (B) Feel losses more intensely than equivalent gains (C) Ignore both gains and losses (D) Only invest in gold

2. Anchoring bias involves:

- (A) Ignoring all past prices (B) Fixating on a reference point like the purchase price when judging value (C) Diversifying a portfolio (D) Filing a SEBI complaint

3. Recency bias leads investors to:

- (A) Weight distant historical data most heavily (B) Over-weight recent events when forming expectations (C) Avoid all market data (D) Automatically diversify

4. Herding in investing refers to:

- (A) Independent, contrarian analysis (B) Following the crowd into or out of an investment (C) A type of mutual fund (D) A SEBI regulation

5. A practical way to counter emotional investing decisions is to:

- (A) Check prices as often as possible (B) Automate contributions via SIP/standing instructions (C) Avoid all research (D) Rely solely on social media tips

Market History and Credit

1. SEBI was given full statutory powers under the SEBI Act in:

- (A) 1956 (B) 1988 (C) 1992 (D) 2008

2. Dematerialisation of shares primarily eliminated risks related to:

- (A) Physical share certificates (loss, forgery, transfer delays) (B) Mutual fund expense ratios (C) RBI monetary policy (D) Insurance claim settlement

3. A credit score in India typically ranges from:

- (A) 0 to 100 (B) 300 to 900 (C) 1 to 10 (D) A to F

4. The single largest factor affecting most credit scores is generally:

- (A) Number of email accounts (B) Timely repayment history (C) Favourite bank branch (D) Number of demat accounts

5. Nomination on a financial account primarily helps:

- (A) Reduce taxes automatically (B) Simplify the release of assets to a designated person after the holder's death (C) Increase investment returns (D) Avoid all KYC requirements

Answer Key — Extended Topics MCQs

Macroeconomics for Investors: 1-B, 2-B, 3-A, 4-B, 5-B

Real Estate and Global Investing: 1-B, 2-B, 3-B, 4-B, 5-B

Behavioural Finance: 1-B, 2-B, 3-B, 4-B, 5-B

Market History and Credit: 1-C, 2-A, 3-B, 4-B, 5-B

Long-Answer Practice Questions with Model Answer Outlines

Unlike the MCQs above, these questions are designed for written, exam-style practice. Each includes a model answer outline — the key points a complete answer should touch — rather than a full essay, so you can use it to structure and self-check your own written response.

Question 1: Explain the difference between saving and investing, and why both are necessary in a financial plan.

- Define saving (capital preservation, high liquidity, near-term needs) and investing (risk-taking for higher, longer-term, inflation-beating returns).
- Explain that saving instruments (savings account, short FD) protect against near-term shocks and fund the emergency fund.
- Explain that investing instruments (equity, mutual funds) are needed to outpace inflation for long-term goals.
- Conclude that a financial plan sequences them: save first for safety and liquidity, then invest surplus for growth.

Question 2: Describe the respective roles of RBI, SEBI and AMFI, and explain how they interact in the context of a mutual fund SIP.

- RBI: regulates banking/payment infrastructure used to fund a SIP (e.g., auto-debit via bank account, UPI Autopay).
- SEBI: regulates the AMC, the mutual fund scheme itself, disclosure norms, and grievance redressal (SCORES) if something goes wrong.
- AMFI: sets distributor certification standards (ARN), publishes daily NAV data, and runs investor-education campaigns.
- Explain the interaction: money moves from a bank account (RBI-regulated) into a SEBI-regulated mutual fund scheme, often via an AMFI-certified distributor.

Question 3: Discuss the risk-return trade-off with reference to at least three different asset classes covered in this guide.

- State the general principle: higher expected return generally requires accepting higher risk.
- Discuss a low-risk/low-return example (savings account/FD).
- Discuss a moderate-risk example (debt mutual funds/bonds), noting interest-rate and credit risk.
- Discuss a higher-risk/higher-return example (equity mutual funds/direct equity), noting market and volatility risk.
- Conclude with the role of time horizon in managing this trade-off (Chapter 3.6).

Question 4: Explain rupee-cost averaging with a numerical example, and discuss one scenario where a lump-sum investment might be preferable.

- Define rupee-cost averaging: fixed periodic investment buys more units when prices are low, fewer when high.
- Provide or reference a worked example (e.g., Problem 10 in Part 8) showing average cost below the simple average NAV.
- Explain the lump-sum case: when a large sum is available and markets are not clearly overvalued, deploying it can capture more time in the market compared to staggering it out.
- Note the trade-off: lump sum carries more short-term timing risk; SIP smooths that risk but may underperform in a strongly rising market.

Question 5: Outline the steps an investor should take before trusting an unfamiliar investment adviser or scheme, referencing the relevant regulatory bodies.

- Check SEBI registration for advisers/research analysts; check ARN for mutual fund distributors (AMFI); check IRDAI registration for insurance agents.
- Read the actual scheme document/prospectus rather than relying on marketing material.
- Check for regulator investor-alert lists mentioning the entity.
- Assess whether promised returns are realistic given the risk-return principles from Chapter 3.
- Know the escalation path (SCORES/ODR/Ombudsman) if something goes wrong, per Chapter 20.

Question 6: Explain how asset allocation and diversification work together to manage portfolio risk, with an example.

- Define asset allocation (split across asset classes) versus diversification (spreading within and across classes).
- Explain that asset allocation is the primary driver of long-term portfolio risk/return characteristics.
- Explain diversification's role in reducing single-asset/sector concentration risk.
- Provide an example portfolio (e.g., the worked allocation in Chapter 16.6) and explain how it embodies both principles.
- Mention rebalancing as the maintenance mechanism that keeps the intended allocation intact over time.

Question 7: Discuss why derivatives are considered unsuitable for most first-time investors, using the concepts of leverage and margin.

- Define leverage: controlling a large position with a relatively small margin deposit.
- Explain how this magnifies both gains and losses relative to the capital actually deployed.
- Explain mark-to-market settlement and margin calls, and how losses can accumulate faster than expected.
- Reference SEBI data showing a majority of individual F&O traders lose money over time.

- Conclude with the guide's recommendation: build a foundation in equity/mutual funds/bonds first.

Question 8: Explain the concept of compounding and why starting to invest early matters more than the amount invested per month.

- Define compounding: earning returns on both principal and previously earned returns.
- Reference the worked illustration (Chapter 2.5) comparing an early, short-duration saver to a later, longer-duration saver.
- Explain that the earliest years of investing have the longest time to compound, making them disproportionately valuable.
- Conclude that time in the market, more than the exact monthly amount, is the biggest lever most ordinary investors control.

How to use this section

Write out a full answer to each question in your own words using the outline as a checklist, then compare your answer against the relevant chapter referenced in each outline to identify any gaps.